

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CIV085235

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: DEMARTINI, ET AL

vs.

DEFENDANT: DEMARTINI, ET AL

NATURE OF PROCEEDINGS: 1) MOTION – REIMBURSEMENT OF COSTS
2) MOTION – OTHER: VACATE/MODIFY JUDGMENT

RULING

The motion of Cross-Defendants Timothy P. DeMartini, Margie DeMartini, Daniel J. DeMartini, Linda DeMartini, David A. DeMartini, Nancy DeMartini, Mark A. DeMartini, Laurie DeMartini, Jon H. DeMartini, Lynne DeMartini, Sally E. Humpherys, and Newell Humpherys (the “Timothy Group”) to allocate fees and costs is granted in part and denied in part. The motion is granted as to the \$10,585.96 incurred in cleanup costs and consultant fees and \$3,913.72 in interest, but is denied as to the \$70,005.60 in attorney’s fees incurred in collection and litigation efforts. The Court defers on ruling on the \$20,277 in attorney’s fees incurred in connection with environmental cleanup. The Timothy Group may submit a supplemental declaration or documentation within 10 days from the date of the hearing specifically identifying the attorney’s fees incurred in connection with the cleanup as opposed to collection/litigation efforts against Michael and Renate DeMartini. The Court will determine the amount of attorney’s fees to allocate once it receives the supplemental documentation.

The Timothy Group’s motion to vacate the Renewal of Judgment is granted. The Court will enter a different Renewal of Judgment which eliminates the interest included, making the total amount of the Renewal of Judgment to be \$20,484.16

I. Motion to Allocate Fees and Costs

A. Procedural History

The litigation involving the DeMartini parties originated in 2008. One of the properties owned by the parties, in San Anselmo (the “Property”), was the subject of an environmental action and requires remediation before it can be sold. The parties’ ownership interest in the Property is held by each of the sixteen parties (comprised of eight married couples) equally.

The Court has previously ordered apportionment of fees and costs with respect to the Property. In an Order dated September 11, 2015, the Court stated that it had “adopt[ed] the parties’ agreement to apportion the fees and costs incurred in addressing the regulatory environmental action brought against the [Property] according to the parties’ ownership interests.” A final Order apportioning fees and costs was entered on January 20, 2016. The January 20, 2016 Order was affirmed on appeal.

In December 2019, the Timothy Group filed a motion for apportionment of expenses and attorneys’ fees incurred after the Court’s September 11, 2015 and January 20, 2016 Orders. The Court granted the motion on June 25, 2020, noting that the Orders had “specifically reserved the issue of the apportionment of fees and costs incurred subsequent to the Orders, including, but not limited to, any recoverable fees and costs relating to the Post-Trial Environmental Work and Property Management of the [Property].” The Court granted the motion and ordered each sibling to pay Timothy \$98,870.96. The June 2020 Order was affirmed on appeal in a decision entered on June 7, 2022.

In August 2023, the Timothy Group filed a motion for apportionment of fees and costs incurred after the June 2020 Order. On November 27, 2023, the Court ordered apportionment of the requested clean-up costs and consultant fees and attorney’s fees and awarded interest at the default rate of 7%. The Court held that each couple’s portion of the fees and costs, accrued from the date of the June 2020 Order through the date the Timothy Group’s motion was filed, was \$11,433.15 plus interest at the rate of 7%. Pursuant to a declaration from the Timothy Group’s counsel dated December 19, 2023, each couple’s share of interest at 7% totaled \$2,528.73.

The Timothy Group now seeks an apportionment of additional fees and costs it contends it has incurred since the November 2023 Order. Specifically, the Timothy Group seeks an order apportioning \$10,585.96 in cleanup costs and consultant fees and \$20,277 in attorneys’ fees related to environmental cleanup. The Timothy Group also asks the Court to apportion \$70,005.60 in attorneys’ fees incurred in trying to collect previously apportioned costs from Michael and Renate, with these fees being borne solely by Michael and Renate. The Timothy Group also seeks \$3,913.72 in interest from each of the eight co-owner groups.

B. Legal Standard

Code of Civil Procedure Section 874.010 provides: “The costs of partition include: (a) Reasonable attorney’s fees incurred or paid by a party for the common benefit . . . (e) Other disbursements or expenses determined by the court to have been incurred or paid for the common benefit.” “The costs of partition include reasonable expenses, including attorney’s fees, necessarily incurred by a party for the common benefit in prosecuting or defending other actions or other proceedings for the protection, confirmation, or perfection of title, setting the boundaries, or making a survey of the property, with interest thereon at the legal rate from the time of making the expenditures.” (Code Civ. Proc. § 874.020.)

Section 874.030 provides: “Where disbursements have been made by a party under the direction of the court, interest at the legal rate shall be allowed thereon from the time of making such disbursements.”

Section 874.040 provides that “Except as otherwise provided in this article, the court shall apportion the costs of partition among the parties in proportion to their interests or make such other apportionment as may be equitable.”

C. Request for Judicial Notice

The Timothy Group’s request for judicial notice of the Orders dated September 11, 2025, January 20, 2016, June 25, 2020, and November 27, 2023 (Exhibits A-D), the February 4, 2013 vexatious litigant Order (Exhibit E), the July 25, 2023 writ of execution (Exhibit F), the December 20, 2023 writ of execution (Exhibit G), the February 6, 2024 notice of removal (Exhibit H), the magistrate’s findings dated May 1, 2024 (Exhibit I), the August 2, 2024 Order adopting the magistrate’s findings (Exhibit J), the September 24, 2024 Order of the Ninth Circuit (Exhibit K), the February 10, 2025 Order of the Ninth Circuit (Exhibit L), the June 7, 2022 Opinion from the First District (Exhibit M), and the Second Amended Answer and Counterclaims in the federal district court (Exhibit A to Reply RNJ), is granted. (Evid. Code §§ 452, 453.)

D. Discussion

1. Clean up costs and consultant fees

In his declaration, Timothy DeMartini states that Exhibit A to his declaration is a transaction list of “all the invoices paid in relation to the San Anselmo property including environmental clean-up costs and consultants’ fees for the time period since the Court’s last apportionment of fees and cost, a calculated 7% interest on these costs, and copies of the invoices and payment checks thereto. I have subsidized the costs for the remediation out of personal resources since the property’s cash flow could not support it.” (Declaration of Timothy DeMartini, ¶2.) The first page of Exhibit A reflects payment of three invoices from Environmental Audit Inc., dated June 5, 2023 (\$4,219.52), December 6, 2023 (\$4,071.44), and January 8, 2024 (\$2,295), totaling \$10,585.96. Exhibit A also includes copies of the invoices themselves and the checks that paid those invoices. The invoices show that the work performed was for conducting groundwater monitoring, analytical testing of samples, preparing reports, and responding to comments from the California Department of Toxic Substances Control (“DTSC”).

Michael and Renate DeMartini argue in their Opposition that there is no showing that these costs and fees were incurred for the common benefit because the DTSC continues to oversee investigation and response activities for the Property and the Court appointed a receiver to oversee property management and preservation. Despite these processes already in place, the Timothy Group elected to undertake independent environmental activities and interactions with DTSC. Michael and Renate also argue that the attorney’s fees incurred relating to the remediation could reflect Timothy’s preferred environmental strategies rather than a benefit shared equally by all co-owners. James and Ruth DeMartini have filed a short Response in which they state that they have not had a meaningful opportunity to participate in or approve the consultant activities or expenditures and thus any finding that these costs were incurred for the common benefit is premature. Both sets of co-owners (Michael and Renate, and James and

Ruth) state that they reserve their right to seek a future DTSC determination regarding the proper allocation of environmental responsibility and costs.

In its Reply, the Timothy Group argues that the remediation work that was done is required by both this Court and the state. Until the DTSC clears the property, the environmental work is not complete. The remediation is a prerequisite for the Property to be sold as ordered by the Court under the direction of the referee. Thus the money spent in achieving remediation is entirely for the common benefit as it will effectuate the sale of the Property as ordered.

The Court will order apportionment of the \$10,585.96 as requested by the Timothy Group. In its opinion dated June 7, 2022, the Court of Appeal addressed similar arguments made by Michael and Renate here and rejected them, stating: “The first apportionment order issued by the trial court included apportionment of the remediation costs paid by Timothy. At the time, the court had already appointed a referee and a receiver, the DTSC had already exercised its jurisdiction, and the Quik Stop matter had been resolved. Even Michael conceded in his opposition to the first apportionment order that the Timothy Group’s request for attorney fees and costs relating to posttrial management and environmental work at the Property ‘should be apportioned among the parties according to interest.’ He indicated that he had ‘no objection to this apportionment, as these costs-at least in theory-are incurred for the common benefit of all the parties.’ In the present appeal, he does not explain what has changed since the first order was issued that would cause the current fees and costs not to have been incurred for the common benefit, or to be otherwise unauthorized. Indeed, insofar as the environmental remediation appears to be a prerequisite for the sale of the Property, it is difficult to imagine how money spent towards achieving such remediation could be understood as being for anything other than the common benefit. [FN] We conclude the court did not err in determining that the expenses Timothy has continued to advance towards the Property’s environmental remediation were properly incurred for the common benefit of the parties.” (RJN Exh. M at pp. 14-15.) The same reasoning applies to the present motion and the Court adopts it here. Each co-owner group’s share of the \$10,585.96 is \$1,323.25.

2. Attorney’s fees relating to environmental cleanup

The Timothy Group submits the declaration of Peter Kleinbrodt to support its request for allocation of \$20,277 in attorney’s fees incurred in relation to environmental cleanup. Unfortunately, Mr. Kleinbrodt’s declaration states only: “Of the fees sought, \$20,277.00 were categorized as being incurred in relation to the environmental efforts on the property” The timesheets he attaches reflect work both on environmental cleanup issues *and* work to collect unpaid costs from Michael and Renate without highlighting or identifying specific entries relating to environmental cleanup as opposed to collection costs.

While the hourly rates charged are reasonable, the Court needs additional information on these costs. The Court will allow the Timothy Group to submit a supplemental declaration or documentation within 10 days from the date of the hearing.

3. Attorney’s fees relating to collection of amounts due under previous orders

The Timothy Group asks the Court to allocate \$70,005.60 in attorney's fees to Michael and Renate only, arguing that Timothy was forced to pay these amounts to collect amounts due from prior allocation orders. The Timothy Group argues that Michael and Renate attempted to evade having to pay these amounts for years, which required Timothy to engage in enforcement and collection efforts. Specifically, the Timothy Group argues that after Michael and Renate failed for three years to pay their allocated \$98,870.96 portion of costs pursuant to the June 2020 Order, Timothy obtained a writ of execution on the amount owed. (Request for Judicial Notice ("RJN") Exhs. C, F.) Then, after Michael and Renate failed to timely pay their allocated \$11,433.15 portion of costs pursuant to the November 2023 Order, Timothy obtained a writ of execution for the updated amount owed. (RJN Exhs. D, G.) Timothy then sought to execute on a property in Nevada County, California in which Michael and Renate held a minority interest, initiating an ancillary action for an order for the sale of the property. (RJN Exh. H.) Michael and Renate removed the ancillary action to federal court, asserted federal counterclaims, and sought a federal stay to block enforcement of the June 2020 and November 2023 Orders. (RJN Exhs. H, I.) Timothy filed motions to dismiss the federal action and that action was eventually dismissed. (RJN Exhs. I, J.) Michael and Renate appealed and the Ninth Circuit dismissed their appeal. (RJN Exh. K.) Michael and Renate filed a motion for reconsideration, which was denied. (RJN Exh. L.) The Timothy Group states that Timothy incurred \$70,005.60 in attorney's fees seeking reimbursement of the allocated costs ordered in the June 2020 and November 2023 Orders.

The Court declines to allocate the \$70,005.60 to Michael and Renate in the context of this allocation motion, which is brought pursuant to Code of Civil Procedure Section 874.010, et seq. It does not appear that the legal work at issue was done for the common benefit, but rather for Timothy to recoup his personal costs of collection against Michael and Renate. The other owners are not involved and do not benefit from this process. This, of course, does not prevent Timothy from otherwise collecting attorney's fees against Michael and Renate through other means.

The cases cited by Timothy are distinguishable from the issue at hand. In *Orien v. Lutz* (2017) 16 Cal.App.5th 957, the court merely acknowledged that attorney's fees can be incurred for the common benefit in a partition action and that allocation can be adjusted if a party unduly exacerbates a dispute. In *Lin v. Jeng* (2012) 203 Cal.App.4th 1008, the court held that a court can apportion attorney's fees based on equitable considerations. The issue here is whether the fees incurred by Timothy were incurred for the common benefit of the owners, and the Court concludes that they were not.

Again, the Court's ruling is based on the specific motion before it. The ruling is not intended to address whether Timothy is entitled to collect attorney's fees or costs against Michael and Renate in the context of a different type of motion or proceeding.

4. Interest

The Timothy Group's request for interest at a rate of 7% is granted. In Exhibit A of his declaration, Timothy calculates the interest that has accrued on the amounts paid on the invoices for remediation and cleanup work to be \$3,913.72. No party disputes this calculation. Each co-owner group's share is \$489.22.

II. Motion to Vacate or Modify Judgment

The Timothy Group seeks to vacate or modify a Renewal of Judgment filed by Michael and Renate.

A. Procedural Background

The parties' papers reflect that in 2016, in connection with a cost allocation order, the Court awarded Michael and Renate allocation of their fees from the Timothy Group of \$33,808. An order was entered on January 20, 2016. An appeal followed and was resolved in 2018.

On January 13, 2026, Michael filed an Application for and Renewal of Judgment ("Renewal of Judgement"). The Renewal of Judgment identified the original judgment date as January 2016, the original judgment amount as \$33,808, Michael as the judgment creditor and Timothy as the judgment debtor, and the total renewed judgment amount as \$48,800.46. Of this amount, \$28,316.48 was for accrued interest. The Renewed Judgment reflects a credit of \$13,368.84.

B. Standard

Code of Civil Procedure Section 683.170 provides: "(a) The renewal of a judgment pursuant to this article may be vacated on any ground that would be a defense to an action on the judgment, including the ground that the amount of the renewed judgment as entered pursuant to this article is incorrect . . . (b) Not later than 60 days after service of the notice of renewal pursuant to Section 683.160, the judgment debtor may apply by noticed motion under this section for an order of the court vacating the renewal of the judgment . . . (c) Upon the hearing of the motion, the renewal may be ordered vacated upon any ground provided in subdivision (a), and another and different renewal may be entered, including, but not limited to, the renewal of the judgment in a different amount if the decision of the court is that the judgment creditor is entitled to renewal in a different amount." The moving party bears the burden of proving by a preponderance of the evidence that renewal of a judgment should be vacated. (*American Contractors Indemnity Co. v. Hernandez* (2022) 73 Cal.App.5th 845, 848.)

C. Discussion

The Timothy Group moves to vacate or modify the Renewal of Judgment on the ground that Michael and Renate are not entitled to the interest included in the Renewal of Judgment. The Timothy Group states that it tendered checks to Michael and Renate in early 2018 for the full amount of the 2016 judgment, which stopped any claim of accruing interest thereon.

Code of Civil Procedure Section 685.030 addresses satisfaction of money judgments. Subsection (d) provides: "(d) For the purposes of subdivisions (b) and (c), the date a money judgment is satisfied in full or in part is the earliest of the following times: (1) The date satisfaction is actually received by the judgment creditor. (2) The date satisfaction is tendered to the judgment creditor or deposited in court for the judgment creditor. (3) The date of any other performance that has the effect of satisfaction."

“The Legislature has declared interest on a judgment ceases to accumulate on the date a check in the amount of the judgment and accumulated interest is delivered to the judgment creditor, notwithstanding the fact that the honoring of the check may take a period of days. (§ 685.030, subd. (d)(2).)” (*Gray1 CPB, LLC v. SCC Acquisitions, Inc.* (2015) 233 Cal.App.4th 882, 896.) “[T]here is no reason a judgment creditor should continue to earn interest on its judgment after refusing payment of the judgment.” (*Ibid.*)

The Timothy Group tendered payment to Michael and Renate through six checks. On May 15, 2018, Michael returned four of the checks to Mr. Kleinbrodt noting that he was confused by some of the writing on the checks and asking for clarification whether the checks were intended to address a portion or all of the amount due. (See Kleinbrodt Decl., Exh. A.) He also asked for new checks that address the court’s order. The four returned checks (from Timothy/Margie, Newell/Sally, Mark, and David/Nancy), were each for \$6,684.42 and were dated late December 2017 or early January 2018. Two of these checks stated in the memo portion that of the \$6,684.42, \$5,634.67 was for the judgment and \$1044.75 was for interest. One check stated that it was for “Marin court fees”, and one stated it was for “2016 court principal & int. payoff 2-26-2016 court”. Michael’s letter indicated that “the other two checks of the six tendered were considered ok.” These checks were from Jon/Lynne and Dan/Linda and were also for \$6,684.42. (See Declaration of Michael DeMartini, Exhs. C and D.)

The Timothy Group argues that based on Michael and Renate’s acceptance of two of the identical six checks, the six checks comprised a full tender for both principal and interest. As reflected in the memo portion of two checks, \$5,634.67 was for each couple’s principal share of the judgment ($\$5,634.67 \times 6 = \$33,808$). Michael and Renate never objected to the interest paid by the two checks they accepted.¹ Therefore, Michael and Renate cannot claim any continuing interest on amounts owed under the January 20, 2016 order after the tender. The Timothy Group contends that after removing the \$28,316.48 claimed in interest, the Renewal of Judgment amount should be \$20,484.16.

Michael and Renate argue that they received no response to Michael’s request for clarification and for replacement checks, and thus no renewed tender. They argue that they returned the four checks after consulting with counsel. Two of the checks were made payable to Michael only and not Michael and Renate, while other checks contained writings that created uncertainty regarding the characterization of the Court’s order and the effect of negotiating the checks.

The issue before the Court is whether the four returned checks constituted sufficient tender so as to stop the accrual of interest at the time they were delivered to Michael and Renate. The Court finds that they did.

On an initial note, Michael and Renate do not appear to dispute that a payment of \$40,106.52 ($\$6,684.42 \times 6$) would have satisfied the judgment at the time the checks were delivered to them. They accepted the two checks from Lynne/Jon and Dan/Linda in this amount,

¹ These two accepted checks are reflected in the credit in the Renewal of Judgment.

and those checks were also dated late December 2017. (Michael DeMartini Decl., Exh. D-1, D-5.) Therefore, the sufficiency of the amount of the tender by the Timothy Group is not at issue.

“The tenderer must do and offer everything that is necessary on his part to complete the transaction, *and must fairly make known his purpose without ambiguity*, and the act of tender must be such that it needs only acceptance by the one to whom it is made to complete the transaction.” (*Gaffney v. Downey Savings & Loan Assn.* (1988) 200 Cal.App.3d 1154, 1165 [citation omitted] [emphasis in original].) The four rejected checks satisfied this requirement, as all four checks were for the correct amount for each payor’s share and all referenced the court proceedings.

Further, Michael did not identify his objections to the four checks with any specificity in his letter when he returned the checks. “The person to whom a tender is made must, at the time, specify any objection he may have to the money, instrument, or property, or he must be deemed to have waived it; and if the objection be to the amount of money, the terms of the instrument, or the amount or kind of property, he must specify the amount, terms, or kind which he requires, or be precluded from objecting afterwards.” (Code Civ. Proc. § 2076; see also Civ. Code § 1501.) This provision is “intended to enable a debtor to pay his debt without being later confronted with hidden objections which could have been obviated.” (*Gaffney*, 200 Cal.App.3d 1154, 1166.)

Here, Michael’s letter to Mr. Kleinbrodt stated only: “[T]he court ordered that the payments be made on or before February 26, 2016. The writings your clients are providing in the memo of the check appears to be confusing to me, The amount paid is only a portion of the amount ordered for Timothy’s Group but it is not indicated as only a portion. Please specify that the payment is intended to address a portion or all of the amount owed by the Timothy Group including interest to date at 10% per the order of January 16, 2016. Please provide new check(s) that addresses the order of the court at the earliest opportunity.” Michael did not object that the payee(s) on any of the four checks was incorrect (Michael as opposed to Michael and Renate), or that the amount of the check was insufficient to satisfy each payor couple’s portion of the order. Indeed, the letter then followed with a comment that the “other two checks of the six tendered were considered ok”. The other two checks were for the same amount, dated around the same time, and were accepted and cashed by Michael and Renate.²

The four checks returned by Michael and Renate constituted legally sufficient tender. As a result, interest on the total amount of the four checks ceased to accumulate as of the date they were delivered to Michael and Renate under Section 685.030 (d)(2). The Renewal of Judgment will be reduced by the amount of the interest included, i.e., \$28,316.48, making the total amount of the Renewal of Judgment \$20,484.16.

² Even though Michael’s letter also stated that checks were supposed to be made before February 2016, and that the checks did not state they were for a portion of the amount owed, he also states he accepted the two other checks. Those two other checks were also dated December 2017, and also did not state whether they were for a portion owed. Further, Michael and Renate do not identify timing, or a failure to state whether payment was for a portion of what was owed, as a reason why the four checks were returned in Exhibit C to Michael’s declaration.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-qov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjiEOSHNgEGafG.1>

Meeting ID: 161 548 7764

Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CIV2003621

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: A. ANDRES

PLAINTIFF: MICHAEL RAUCH

vs.

DEFENDANTS: LARRY FRANCIS
KLOSOWSKI, ET AL.

NATURE OF PROCEEDINGS: 1) MOTION – ATTORNEY’S FEES
2) MOTION – ATTORNEY’S FEES
3) MOTION – STRIKE
4) MOTION –OTHER: FOR AWARD OF PRE-JUDGMENT INTEREST

RULING

Plaintiff/Cross-Defendant Michael Rauch’s motion for attorney’s fees is denied. His motion to strike memorandum of costs is granted. Defendant/Cross-Complainant Cathleen Gouveia’s motion for attorney’s fees is denied. Her motion for prejudgment interest is granted in the amount of \$43,920.03

I. Factual and Procedural Background

On December 22, 2020, Michael Rauch (“Rauch”) filed his original Complaint against Cathleen Gouveia dba Cathleen Gouveia Design (“Gouveia”) and others, alleging among other things that he entered into a contract with Gouveia for the performance of certain improvements and services at his property in Tiburon. Gouveia moved to compel arbitration. On June 16, 2021, the Court entered an Order denying Gouveia’s motion, finding that Gouveia’s Letter of Agreement failed to comply with the mandatory requirements of Business & Professions Code Section 7191.

On July 1, 2021, Gouveia filed a Cross-Complaint against Rauch alleging breach of their agreement, breach of the covenant of good faith and fair dealing, copyright infringement, indemnity, and entitlement to attorneys’ fees under the parties’ agreement.

On October 21, 2021, Rauch filed a First Amended Complaint. As against Gouvia, Rauch asserted claims for money had and received, fraud and deceit, negligent misrepresentation, violations of the Business & Professions Code, breach of oral contract, breach of written contract, breach of implied warranty, and negligence.

On January 9, 2023, the Court entered an order denying Rauch's motion for summary judgment on Gouveia's Cross-Complaint but granting his motion for summary adjudication of the Fourth and Fifth Causes of Action.

On February 4, 2026, in connection with a settlement conference before Judge Andrew Sweet, Rauch settled his First Amended Complaint against Gouveia for \$325,000. Gouveia's Cross-Complaint was not part of the settlement. The parties executed a Settlement Agreement dated February 8, 2026. The Settlement Agreement includes the following language:

2. In the Action, CGD filed a Cross-complaint in the Action. That Cross-complaint and RAUCH's Answer, affirmative defenses and defenses thereto are expressly not part of this Agreement.

3. Rauch retained CGD pursuant to a written agreement on or about October 18, 2019 ("Letter Agreement"). That Agreement was which [sic] was subsequently amended in May 2020.

5. Purpose of Agreement. This Agreement is entered into by the Parties in good faith for the purpose of settling any and all claims which were or could have been asserted against CGD in the Complaint in any way arising out of or related to the Property or the Agreement.

16. Costs. Each Party will bear its own costs, expenses, and attorneys' fees that it has heretofore incurred in connection with or arising out of the matters set forth in the Recitals hereinabove, the matters and claims released hereunder and the negotiation of this Agreement, excepting those incurred in regard to CGD Cross-Complaint, RAUCH's Answer, affirmative defenses and defenses to CGD's Cross-Complaint.

(Declaration of Carlos Huet-Cox ("Huet-Cox Decl."), Exh. A.)

On February 23, 2026, trial of Gouveia's affirmative claims for breach of contract, breach of the implied covenant of good faith and fair dealing, and copyright infringement commenced. On February 27, 2026, after the closure of all evidence and testimony, Rauch brought a nonsuit as to Gouveia's claims for breach of the implied covenant and copyright infringement. Gouveia dismissed both claims before the Court made a decision on Rauch's motion. (Huet-Cox Decl., ¶11, 12.) On February 27, 2026, the jury reached a verdict finding that Rauch breached his contract with Gouveia and that Gouveia suffered \$162,500 as a result of the breach. Judgment was entered in favor of Gouveia on February 27, 2026.

II. Motions for Attorney's Fees

Both Rauch and Gouveia have brought a motion for attorney's fees under Civil Code Section 1717.

A. Section 1717

Section 1717 provides:

(a) In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs

Reasonable attorney's fees shall be fixed by the court, and shall be an element of the costs of suit.

Attorney's fees provided for by this section shall not be subject to waiver by the parties to any contract which is entered into after the effective date of this section. Any provision in any such contract which provides for a waiver of attorney's fees is void.

(b) (1) The court, upon notice and motion by a party, shall determine who is the party prevailing on the contract for purposes of this section, whether or not the suit proceeds to final judgment. Except as provided in paragraph (2), the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract. The court may also determine that there is no party prevailing on the contract for purposes of this section.

(2) Where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section

(c) In an action which seeks relief in addition to that based on a contract, if the party prevailing on the contract has damages awarded against it on causes of action not on the contract, the amounts awarded to the party prevailing on the contract under this section shall be deducted from any damages awarded in favor of the party who did not prevail on the contract. If the amount awarded under this section exceeds the amount of damages awarded the party not prevailing on the contract, the net amount shall be awarded the party prevailing on the contract and judgment may be entered in favor of the party prevailing on the contract for that net amount.

Where one party obtains a "simple, unqualified victory" on the only contract claim in the action, that party is entitled to attorney's fees as a matter of law and the court may not deny fees by finding there was no prevailing party on the contract. (*Hsu v. Abbata* (1995) 9 Cal.4th 863, 876-877.) Where the results of the litigation are mixed, however, the trial court exercises its

discretion in determining the prevailing party. “[T]he trial court is to compare the relief awarded on the contract claim or claims with the parties’ demands on those same claims and their litigation objectives as disclosed by the pleadings, trial briefs, opening statements, and other similar sources. The prevailing party determination is to be made only upon final resolution of the contract claims and only by ‘a comparison of the extent to which each party ha[s] succeeded and failed to exceed in its contentions.’” (*Id.* at p. 876 [citation omitted].) “[C]ourts should respect substance rather than form, and to this extent should be guided by ‘equitable considerations. For example, a party who is denied direct relief on a claim may nonetheless be found to be a prevailing party if it is clear that the party has otherwise achieved its main litigation objective.” (*Id.* at p. 877.)

“Section 1717 as amended in 1987, makes it clear that the party who obtains greater relief on the contract action is the prevailing party entitled to attorney fees under section 1717, regardless of whether another party also obtained lesser relief on the contract or greater relief on noncontractual claims.” (*Maynard v. BTI Group, Inc.* (2013) 216 Cal.App.4th 984, 990 [citation and internal quotations omitted].) “Thus, when the attorney fee provision provides that the party who prevails on the contract claim shall recover its attorney fees, only that party may recover its fees even if the other party obtains greater relief under a noncontractual cause of action.” (*Ibid.*)

B. The Letter Agreement

The parties entered into a Letter Agreement on October 19, 2019. Sections 2.8 and 5.6 reference attorney’s fees:

2.8 Payment Terms. Design invoices will be issued on a monthly or bi-monthly basis at the designer’s discretion and will be due and payable by Owner within 14 days. Travel time will be billed at half the hourly rate. Accounts unpaid 30 days after invoice date may be subject to a monthly service charge of \$50 and will bear interest at the rate of 1.5% on the unpaid balance; and shall bear interest at a rate of 10% per annum or the maximum permissible by law. The client shall pay costs of collection, including reasonable attorney’s fees and costs in the event any portion or all of an account remains 60 days after invoice. In addition to any and all other rights that we may have, should you fail to make any payment due to us in accordance with this Agreement, including payment of design fees, margins, or referral fees, etc. we shall have the right to withhold delivery of any item of Merchandise and/or suspend performance of any service required to be performed by us under this Agreement. Design fees and costs must be paid prior to delivery to the Owner’s address; and any additional charges unknown at the time of delivery must be paid by the client.

5.6 Attorney Fees. In the event of Binding Arbitration as final recourse between the parties with respect to this Agreement, the performance of the obligations hereunder or the effect of a termination under this Agreement, the losing party shall pay all costs

and expenses incurred by the prevailing party in connection with such litigation, including reasonable attorneys' fees and costs. This includes collection costs, mediation fees/costs, arbitrator filing fees, court reporters, administrative fees/costs, storage fees and moving costs.

(*Id.*)

C. Gouveia's Motion for Attorney's Fees

1. The parties can recover attorney's fees under Section 2.8 but not Section 5.6

Section 5.6 does not allow for an award of attorney's fees in this case, as there is no dispute that the parties did not go to arbitration.

Gouveia can potentially recover her fees under Section 2.8, which states that "[t]he client shall pay costs of collection, including reasonable attorney's fees and costs in the event any portion or all of an account remains 60 days after invoice." Gouveia incurred attorney's fees in recovering amounts due from Rauch, up through the time of the jury verdict. Courts have awarded fees based on similar language. (See *Calvo Fisher & Jacob LLP v. Lujan* (2015) 234 Cal.App.4th 608, 622; *Finalco, Inc. v. Roosevelt* (1991) 235 Cal.App.3d 1301, 1306-1307; *Malibou Lake Mountain Club, Ltd. v. Smith* (1971) 18 Cal.App.3d 31, 36.)

Rauch argues in a footnote that Section 2.8 does not apply because he paid the \$162,500 judgment on March 17, 2026, and therefore there is no judgment to collect. This argument misreads Section 2.8, which allows for the recovery attorney's fees for collecting amounts that remained unpaid 60 days after invoice. The section does not, as Rauch implies, allow only for fees incurred in the collection of a judgment. Rauch also argues, in the same footnote, that Section 2.8's "generalized terms are subsumed by the specificity of the prevailing party fee provision in section 5.6 of the Contract." (Opp., p. 4 n. 2.) This argument also fails as neither section is more "specific" than the other such that it essentially preempts the other. The case cited by Rauch, *Mountain Air Enterprises, LLC v. Sundowner Towers, LLC* (2017) 3 Cal.5th 744, 754, does not support Rauch's argument as it involved entirely different language that is not similar in any way to the language in the parties' Letter Agreement here. The Court also notes that Rauch himself moves for attorney's fees under Section 2.8 (and/or Section 5.6).

a. The June 9, 2023 Order does not preclude Gouveia from recovering her fees

Rauch argues that Gouveia's request for attorney's fees was already adjudicated in Rauch's favor in Judge Chou's June 9, 2023 Order. This argument fails as the Order granted summary adjudication only because the request was made in a procedurally improper manner, i.e., as a separate cause of action and not as a remedy in the prayer for relief. The Court then stated that Gouveia could request fees in a different manner. The fact that Gouveia did not amend her Cross-Complaint to specifically include the request in her prayer for damages does not preclude her from recovering fees now. (See *Shames v. Utility Consumers' Action Network*

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(2017) 13 Cal.App.5th 29, 39; *Faton v. Ahmedo* (2015) 236 Cal.App.4th 1160, 1169; *Washburn v. City of Berkeley* (1987) 195 Cal.App.3d 578, 583; (*Ganey v. Doran* (1987) 191 Cal.App.3d 901, 911).

b. Prevailing party

Gouveia argues that she is the prevailing party on the contract due to the jury verdict in her favor.

Rauch argues that he is the prevailing party, not Gouveia, because he recovered twice as much in the settlement of his Complaint as Gouveia did with the jury verdict on her Counterclaim, he prevailed on various motions or disputes during the course of the litigation such as Gouveia's motion to compel arbitration, and Gouveia voluntarily dismissed her breach of the implied covenant and copyright infringement causes of action before the close of evidence at trial.

Rauch's second and third arguments lack merit because they improperly focus on interim victories and not the final outcome of the parties' claims. Rauch's first argument properly focuses on the ultimate outcome but improperly focuses on *all* of the claims asserted by the parties in this case and not just the contract-based claims. For example, Rauch argues that he sought \$250,000 jointly and severally from five defendants, including Gouveia, and obtained a \$325,000 settlement from Gouveia, and that Gouveia sought in excess of \$600,000 from Rauch and was awarded only \$162,500. However, this argument – along with many of Rauch's other arguments - groups together contract and non-contract claims for purposes of the Section 1717 prevailing party analysis. This approach is misplaced as the prevailing party analysis requires that the court compare the relief awarded on only the *contract* claims. "If an action asserts both contract and tort or other noncontract claims, section 1717 applies only to attorney fees incurred to litigate the contract claims." (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 615; see also *David S. Karton, A Law Corp. v. Dougherty* (2014) 231 Cal.App.4th 600, 609.) By its terms, Section 2.8 only applies to claims related to the collection of fees due under the parties' agreement. A narrow attorney's fee provision such as this one does not support an award of attorney's fees to a party prevailing on non-contract claims. (See *Orozco v. WPV San Jose, LLC* (2019) 36 Cal.App.5th 375, 408; *Exxess Electronixx v. Heger Realty Corp.* (1998) 64 Cal.App.4th 698, 709; *Santisas*, 17 Cal.4th at p. 622 n. 9; *Stout v. Turney* (1978) 22 Cal.3d 718, 730; *Boyd v. Oscar Fisher Co.* (1989) 210 Cal.App.3d 368, 377.) The court's determination of "the party prevailing on the contract" for purposes of contractual attorney fees must be made "without reference to the success or failure of noncontract claims." (*Hsu*, 9 Cal.4th at pp. 873-874; see also *Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc.* (2012) 211 Cal.App.4th 230, 239 ["The determination of the party prevailing *on the contract* for purposes of awarding attorney fees under section 1717 must be made independently of the determination of the party prevailing *in the overall action* for purposes of awarding costs under Code of Civil Procedure Section 1032"] [emphasis in original]; *Federal Deposit Ins. Corp. v. Dintino* (2008) 167 Cal.App.4th 333, 358 n. 12 ["a trial court cannot consider a party's success on noncontract causes of action, or in achieving its litigation objectives in general ... in determining which party is the prevailing party on the contract for purposes of Civil Code section 1717"].)

Limiting Rauch's argument to the parties' contract claims only, the Court next considers Rauch's claim that he obtained more in the settlement than what Gouveia obtained in her jury verdict and therefore he is the prevailing party, not Gouveia.

The Court first notes that Rauch dismissed his claims against Gouveia with prejudice in connection with the Settlement Agreement, and therefore he cannot be the prevailing party with respect to those claims. "Where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section." (Code Civ. Proc. § 1717(b)(2).)

With respect to Rauch's argument that the Court can consider the settlement for purposes of determining Gouveia's overall litigation result, neither party cites to authority which addresses the specific issue before the Court. This specific issue is whether an earlier settlement between the same parties covering only some of the claims between them, in which there is no allocation of the settlement amount between contract and non-contract claims and both parties agreed to pay their own attorney's fees and costs, can affect the prevailing party analysis after a jury verdict on the remaining contract-based claims.

Rauch cites to a single case, *Sears v. Baccaglio* (1998) 60 Cal.App.4th 1136, in which the court stated: "We conclude the party recovering 'greater relief in the action on the contract' under section 1717, subdivision (b)(1) does not necessarily mean the party receiving the greater monetary judgment. In the event one party received earlier payments, settlements, insurance proceeds or other recovery, the court has discretion to determine whether the party required to pay a nominal net judgment is nevertheless the prevailing party entitled to attorney's fees pursuant to section 1717." (*Id.* at pp. 1154-1155.) The court also stated that "where there is evidence of other success, such as in this case by collection of a portion of the funds at issue, whether by settlement or through a collateral action, the court is entitled to take such recovery into account when calculating which side prevailed. This should be true under Civil Code section 1717 as well as under Code of Civil Procedure section 1032." (*Id.* at p. 1156.)

Sears is distinguishable from this case. There, the guarantor plaintiff sued the defendant building owner to recover money the guarantor paid to the owner on the guaranty. The court found that the plaintiff was liable under the guaranty, but was entitled to recover \$67,000 he had paid under the guaranty not because the owner was liable for breach of contract, but rather due to the "fortuitous circumstances" of the owner's receipt of funds from a bankruptcy estate which mitigated the guarantor's damages. The court found that the owner received "greater relief in the action on the contract" and awarded the owner attorney's fees pursuant to Section 1717, notwithstanding the monetary judgment in favor of the guarantor for part of his initial payment. (*Id.* at p. 1159.) Unlike the owner in *Sears*, Rauch here was found to have breached his contract with Gouveia and the damages awarded by the jury was a direct result of that breach, not "fortuitous circumstances".

Further, with respect to the *Sears* court's reference to "settlements", courts have held that a settlement can be considered if it reduces the amount the plaintiff can ultimately collect against the defendant. For example, a court can consider a settlement between a plaintiff and other defendants which reduces the plaintiff's ultimate net recovery on a specific cause of action against the remaining defendant. (See *Silver v. Boatwright Home Inspection, Inc.* (2002) 97

Cal.App.4th 443, 452 [“We construe the Supreme Court’s reference to parties who attain their litigation objective by *settlement* (*Santisas, supra*, 17 Cal.4th at pp. 621 & 622, 71 Cal.Rptr.2d 830, 951 P.2d 399) as including a plaintiff who obtains a settlement from a party *other than* a defendant who has been voluntarily dismissed prior to trial and who is asserting entitlement to contractual attorney’s fees under sections 1032 and 1033.5”] [emphasis in original]; *Goodman v. Lozano* (2010) 47 Cal.4th 1327, 1334-1335 [citing CCP § 887].) Therefore, even if the Court could consider the impact of the Settlement Agreement for purposes of determining the prevailing party, it could only consider the agreement to the extent it reduced Rauch’s liability on Gouveia’s breach of contract cause of action against him.

Here, the Settlement Agreement covered more than just Rauch’s breach of contract claims against Gouveia. The parties also settled Rauch’s claims against Gouveia for common counts, fraud and deceit, negligent misrepresentation, violations of the Business & Professions Code, breach of implied warranty, and negligence. Only settlement funds relating to the collection of amounts due under the parties’ contract could potentially factor into the prevailing party analysis, but there was no allocation in the Settlement Agreement as to how much value was placed on the contract claims vis a vis the other claims. Therefore, even if the Court could consider the settlement payment to Rauch, there is no showing that any portion of that amount was allocated to Rauch’s breach of contract claim.

Rauch also contends that he sought \$250,000 in connection with his breach of contract claim, but he also sought that amount and possibly additional amounts in connection with his other claims against Gouveia (fraud and deceit, negligent misrepresentation, performance of work without a license/Business & Professions Code § 7000 et seq., fraudulent inducement) that were based on the unlicensed status of two other defendants who physically performed the flooring and painting work. Rauch also alleged breach of warranty, sought the return of a \$69,798.50 payment for flooring work and \$29,500 for painting work based on the licensure issue in his common count for money had and received, and asserted claims for negligence and unfair competition which also sought \$250,000. Therefore, Rauch’s implication that the settlement amount he received somehow reflected only a win with respect to his breach of contract claims, without consideration to the multiple other claims he asserted, is unsupported.¹

Because it is not possible based on this record to tell how much of Rauch’s recovery in settlement was for his contract claims, the Court cannot determine which party prevailed on the

¹ Rauch also contends that Gouveia sought over \$600,000, but this also included her claims for breach of the implied covenant and copyright infringement. Gouveia’s Issue Conference Statement broke down her damages as follows: (1) \$45,780 in unpaid design fees; (2) \$84,866.28 in unpaid referral fees and markups on verified payments to vendors and tradespeople; (3) an additional 50% of her contract damages as a result of accrued interest on unpaid amounts (which she stated would amount to at least \$88,213.14); and (4) \$198,000 for breach of the covenant of good faith and fair dealing. The statement skipped copyright infringement (see pages 11-12), but it is reasonable to conclude that Gouveia sought \$183,140.58 for this cause of action (\$600,000-\$45,780-\$84,866.28-\$88,213.14-\$198,000). Thus, under Gouveia’s own breakdown, she sought only \$218,859.42 in connection with her breach of contract claim ((1)-(3), above). The jury awarded her \$162,500, or a little over 74% of what she requested in connection with her claim.

contract. This is not a case in which there is a clear win by either side. The Court has broad equitable discretion to determine which party prevailed, or to determine that there is no prevailing party. (*Sears*, 60 Cal.App.4th at p. 1151.) The Court concludes there is no prevailing party, and neither party is entitled to fees under Section 1717. Gouveia's motion for attorney's fees is therefore denied.

D. Rauch's Motion

Rauch's motion makes the same arguments Rauch made in his Opposition to Gouveia's motion for attorney's fees. As discussed above, neither party is the prevailing party on the contract. The Court therefore denies Rauch's motion in its entirety.

III. Rauch's Motion to Strike/Tax Costs

Rauch moves to strike Gouveia's Memorandum of Costs on the ground that Gouveia is not the prevailing party under Code of Civil Procedure Section 1032. In the alternative, Rauch moves to tax individual costs identified in the Memorandum.

The prevailing party for an award of costs under Section 1032 is not necessarily the prevailing party for an award of fees under Section 1717. (See *DeSaulles v. Community Hospital of Monterey Peninsula* (2016) 62 Cal.4th 1140, 1147; *Zintel Holdings, LLC v. McLean* (2012) 209 Cal.App.4th 431, 438; *David S. Karton*, 231 Cal.App.4th at p. 607.) The term "prevailing party" for purposes of Section 1032 is defined as "includ[ing] the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant" (Code Civ. Code § 1032(a)(4).)

The last three circumstances in subsection (a)(4) do not apply here. With respect to the first, Rauch contends that Gouveia is not the prevailing party because she did not obtain a "net monetary recovery". A "net monetary recovery" includes consideration of the results of both a plaintiff's claims against a defendant and a defendant's cross-claims against the plaintiff. (See *Michell v. Olick* (1996) 49 Cal.App.4th 1194, 1198 ["Certainly when the defendant in an action had filed a cross-complaint such that plaintiff and defendant had competing monetary claims, then the party in whose favor the net amount is due qualifies as the prevailing party, the party with a net monetary recovery"].)

Because the Court now looks at the total net monetary recovery of all claims, its consideration of the effect of the settlement compels a different "prevailing party" determination than the one the Court reaches in connection with the parties' attorney's fees motions. In *Goodman v. Lozano* (2010) 47 Cal.4th 1327, the court held that the plaintiff's settlement with other defendants completely offset damages assessed by the remaining defendant, resulting in a zero judgment. Here, Gouveia paid \$325,000 to Rauch to settle Rauch's claims against her, and then recovered \$162,500 against Rauch in the jury verdict for her Cross-Complaint. Gouveia's net monetary recovery – as it pertains to all claims at issue in this litigation – was less than zero.

Rauch's motion to strike Gouveia's Memorandum is granted. Gouveia is not the prevailing party under Section 1032 and therefore cannot recover her costs.

IV. Motion for Prejudgment Interest

Gouveia has filed a “motion for award of pre-judgment interest or new trial”, requesting that the Court award her prejudgment interest that began to accrue when Rauch did not pay amounts due under the contract.

Civil Code Section 3287(b) provides: “Every person who is entitled under any judgment to receive damages based upon a cause of action in contract where the claim was unliquidated, may also recover interest thereon from a date prior to the entry of judgment as the court may, in its discretion, fix, but in no event earlier than the date the action was filed.” Section 3287(b) “allows the trial court the flexibility to determine whether an award of prejudgment interest is appropriate in light of the particular facts and circumstances in the case. By allowing an award of prejudgment interest, but only for a limited time period and only if the trial court finds it reasonable in light of the factual circumstances of a particular case, Civil Code section 3287, subdivision (b), seeks to balance the concern for fairness to the debtor against the concern for full compensation to the wronged party.” (*Faigin v. Signature Group Holdings, Inc.* (2012) 211 Cal.App.4th 726, 751-752 [citations and internal quotations omitted].)

Paragraph 2.8 of the Letter Agreement provides that “Accounts unpaid 30 days after invoice date may be subject to a monthly service charge of \$50 and will bear interest at the rate of 1.5% on the unpaid balance; and shall bear interest at a rate of 10% per annum or the maximum permissible by law.” Gouveia represents that the time from filing of the Cross-Complaint (July 1, 2021) to the jury verdict on February 27, 2026 is four years and 252 days. Therefore, Gouveia requests an award of prejudgment interest, at 10%, or \$75,773.75. The total judgment would then be \$238,273.75.

Rauch does not dispute Gouveia’s math as it pertains to how she calculates the \$75,773.75 she seeks. Rather, Rauch argues that Gouveia should not be awarded any prejudgment interest at all because the jury verdict already gave her more than what she claimed to be her contract damages. Specifically, in her Issue Conference Statement, Gouveia stated that her contract damages were \$130,646.28, and the jury awarded her \$162,500. (See footnote 1.) Rauch argues that it is likely the jury already awarded Gouveia interest because Gouveia’s counsel made multiple references to the jury that Gouveia had been terminated from the project in late 2020 and had not received payment from Rauch since August 2020, and Gouveia’s RFA responses which also included this reference were introduced as an exhibit at trial and was provided to the jury to consider during deliberations.

Gouveia does not dispute that the jury award exceeded her claimed contract damages and does not provide any alternative explanation for this discrepancy.² On the other hand, the Court finds that Gouveia is entitled to prejudgment interest as the parties expressly agreed to this in the Letter Agreement. The Court will therefore award Gouveia prejudgment interest of \$43,920.03, which is the amount of the requested prejudgment interest minus \$31,853.72 (the difference

² The clerk’s records do not reflect the filing of a Reply in connection with this particular motion. If Gouveia did file a Reply, the Court requests that she bring an endorsed copy to the hearing.

between the jury verdict and Gouveia's claimed contract damages). The total judgment including prejudgment interest will be \$206,420.03.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-gov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjEOSHnzEGafG.1>

Meeting ID: 161 548 7764

Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CIV2300516

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: HYPERCONSTRUCT CO.,
ET AL

vs.

DEFENDANT: SHAW WALTERS

NATURE OF PROCEEDINGS: MOTION – COMPEL

RULING

Appearances required.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

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<https://marin-courts-ca-gov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjEOSHNgEGafG.1>

Meeting ID: 161 548 7764

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**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0005468

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: MICAELLA CRISTINA
CAPELLI

vs.

DEFENDANT: MARIN HEALTH, ET AL

NATURE OF PROCEEDINGS: 1) DEMURRER
2) DEMURRER – TO PLAINTIFF’S FIRST AMENDED COMPLAINT FOR DAMAGES

RULING

Defendants Marin General Hospital’s (“Marin Health”) and Sonoma Valley Hospital Foundation’s (“SVH”; together with Marin Health, “Defendants”) demurrers are SUSTAINED with leave to amend as to Plaintiff Micaella Cristina Capelli’s (“Plaintiff”) First (medical malpractice), Third (negligent infliction of emotional distress, “NIED”), and Fourth (intentional infliction of emotional distress, “IIED”) Causes of Action. (Code Civ. Proc., § 430.10, subd. (e); see *Award Metals, Inc. v. Superior Court* (1991) 228 Cal.App.3d 1128, 1135 [as modified].)

BACKGROUND

This is a medical malpractice action. Plaintiff alleges that she is a resident of Italy and visited the Bay Area on business in September 2024. (FAC, ¶ 3.) During her trip, she began to experience concerning symptoms she alleges are consistent with venous thromboembolism. (*Id.* at ¶ 9.) She sought urgent medical care at Marin Health’s facility. (*Id.* at ¶ 10.) She alleges that despite reporting “redflag [sic] indicators,” she was given a “ cursory assessment.” (*Id.* at ¶ 11.) According to the FAC, Marin Health’s physician ordered Plaintiff an ultrasound, which came back negative. The physician “did not appreciate that a negative or inconclusive ultrasound does not rule out evolving or proximal DVT, particularly in a symptomatic patient.” (*Ibid.*) Plaintiff was discharged with instructions to take pain medication and elevate her leg. (*Id.* at ¶ 12.) She was not given anticoagulants, specialist consultation, or further imaging, nor was she warned of the signs of pulmonary embolism. (*Ibid.*)

When Plaintiff’s condition worsened, she sought medical care again, this time at SVH’s emergency department. (*Id.* at ¶ 13.) She alleges that she reported “worsening unilateral leg swelling, pain, and functional impairment.” (*Id.* at ¶ 14.) SVH personnel ordered her a CT scan, but it was “not completed due to equipment limitations and operational failures within the hospital.” (*Ibid.*) Instead of transferring Plaintiff to a facility “with functioning imaging

equipment[,]” SVH “discharged Plaintiff without completing diagnostic workup, without arranging urgent follow up [sic], and without ensuring continuity of care.” (*Id.* at ¶ 15.) Thereafter, Plaintiff’s “untreated DVT progressed into pulmonary embolism.” (*Id.* at ¶ 17.) She alleges that this placed her at a substantial risk of death. (*Ibid.*)

Plaintiff asserts claims for medical malpractice, negligence, NIED, and IIED. She filed her original complaint on February 21, 2025. Marin Health and SVH demurred to that pleading. The Court sustained both demurrers with leave to amend as to Plaintiff’s Second (negligence), Third (NIED), and Fourth (IIED) causes of action. (See Jan. 26, 2026 Order.) It sustained both demurrers without leave to amend as to the Fifth Cause of Action (“Punitive Damages”).

Plaintiff filed the FAC on February 12, 2026. The Court now considers Marin Health’s and SVH’s demurrers to that pleading.

LEGAL STANDARD

The function of a demurrer is to test the legal sufficiency of the challenged pleading. (*Hernandez v. City of Pomona* (1996) 49 Cal.App.4th 1492, 1497.) As a general rule, in testing a pleading against a demurrer, the facts alleged in the pleading are deemed to be true, however improbable they may be. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604; *Mead v. Sanwa Bank California* (1998) 61 Cal.App.4th 561, 567-568.) A complaint must be liberally construed and all reasonable inferences must be drawn in favor of its allegations. (*Teva Pharmaceuticals USA, Inc. v. Superior Court* (2013) 217 Cal.App.4th 96, 102; see also Code Civ. Proc., § 452.) The court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of Univ. of Calif.* (1990) 51 Cal.3d 120, 125.)

In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) The face of the complaint includes matters shown in exhibits attached to the complaint and incorporated by reference. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 317.)

DISCUSSION

Marin Health’s Demurrer¹

Duplicative Causes of Action

¹ The Court exercises its “broad discretion” to consider Plaintiff’s untimely opposition to this demurrer. (*Rancho Mirage Country Club Homeowners Assn. v. Hazelbaker* (2016) 2 Cal.App.5th 252, 262.). Plaintiff’s opposition violates the applicable 15-page limit. (Cal. Rules of Court, rule 3.113(d).) Plaintiff is admonished to follow all applicable rules of court moving forward.

Marin Health argues that Plaintiff's causes of action for medical malpractice, negligence, and NIED are duplicative of each other and need to be either consolidated into a single claim or dismissed. Courts have sustained demurrers on the ground that when compared to another cause of action pleaded, the claim subject to demurrer reflects "merely duplicative pleading which adds nothing to the complaint by way of fact or theory." (*Award Metals, supra*, 228 Cal.App.3d 1128, 1135; accord *Palm Spring Villas II Homeowners Assn., Inc. v. Parth* (2016) 248 Cal.App.4th 268, 290; *Rodrigues v. Campbell Industries* (1978) 87 Cal.App.3d 494, 501.)

In *Flowers v. Torrance Memorial Hospital Medical Center* (1994) 8 Cal.4th 992, the Supreme Court made clear that a claim for medical malpractice (or other professional negligence) and a claim for "ordinary" negligence are causes of action for the same tort: negligence. (8 Cal.4th 992, 995, 998.) These are not conceptually distinct theories of liability, even though the standard of care applicable to each is described differently. (*Id.* at pp. 997-998.) The legal theory underlying Plaintiff's First Cause of Action (medical malpractice) and Second Cause of Action ("operational" negligence) is the same: negligence. Thus, these claims are duplicative unless they are based, at least in part, on different facts.

In connection with her medical malpractice claim, Plaintiff alleges that Defendants breached their duty by "[f]ailing to adequately assess [her] clinical presentation," "[i]mproperly relying on a single, inconclusive diagnostic test to rule out a life-threatening condition[.]" "[f]ailing to order appropriate follow up [sic] imaging or laboratory testing[.]" and "[f]ailing to consult specialists or transfer Plaintiff to a higher level of care[.]" (FAC, ¶ 20.) The Court does not see how any of these meaningfully differ from the allegation that Defendants breached their duty by "[d]ischarging Plaintiff despite known diagnostic gaps and foreseeable risk of catastrophic harm[.]" an allegation offered in connection with Plaintiff's other negligence claim. (*Id.* at ¶ 24(d).) All of these amount to allegations that Defendants neglected to perform a thorough medical assessment on Plaintiff and sent her on her way. That this allegation is set forth in different language in connection with each of these two causes of action does not change its character.

Plaintiff alleges only one other breach in connection with her medical malpractice claim: Defendants allegedly breached their duty by "[d]ischarging Plaintiff without warning her of the signs and dangers of pulmonary embolism." (FAC, ¶ 20(e).) Again, the Court does not see how this is meaningfully different from the allegation, offered in connection with the other negligence claim, that Defendants breached their duty by "[f]ailing to ensure that foreign patients were adequately informed and safely discharged[.]" (*Id.* at ¶ 24(c).) Plaintiff does not have standing to seek legal redress for injuries suffered by other "foreign patients[.]" so she can only be alleging that Defendants failed to "adequately inform[] and safely discharge[]" *her*, which is not different from the allegation that they discharged her without warning her of a dangerous risk.

The medical malpractice claim is based on the same legal theory (negligence) as the other negligence claim, and all of the factual allegations specific to this cause of action find a counterpart in the allegations specific to the Second Cause of Action. Accordingly, the First Cause of Action "adds nothing to the complaint by way of fact or theory." (*Award Metals, supra*, 228 Cal.App.3d 1128, 1135.) Marin Health's demurrer to the First Cause of Action is SUSTAINED with leave to amend.

NIED is a species of liability for negligence wherein the alleged injury consists of emotional distress. (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 205; *Huggins v. Longs Drug Stores California, Inc.* (1993) 6 Cal.4th 124, 129; *Christensen v. Superior Court* (1991) 54 Cal.3d 868, 884.) When a plaintiff pleads an NIED claim based on the same conduct asserted as the basis for a separate negligence claim, the NIED claim is redundant, because the only function of the NIED claim under those circumstances is to assert that the harm the plaintiff has suffered as a result of the defendant's conduct includes emotional harm. This would be like a plaintiff pleading a claim for battery based on the defendant's punching them in the face and breaking their nose, and then pleading a *separate* claim for battery, based on the same punching incident, but this time alleging harm consisting of damage to the teeth and jaw. A plaintiff may suffer multiple different harms as a result of certain tortious conduct, but that does not mean the plaintiff has more than one cause of action.

As pleaded in the FAC, the alleged breaches of duty underlying Plaintiff's NIED claim ("negligent discharge, abandonment of care, [] failure to communicate critical medical risks[,] . . . "dismissing Plaintiff's escalating symptoms, abandoning her care mididiagnostic [sic] process, and discharging her without explanation or safeguards" [FAC, ¶¶ 28-29]) are all already captured within each of her first two causes of action. As the Court said when it addressed this issue on the first demurrer in this case, "[t]hat [Plaintiff's] alleged injury consists in part of emotional distress does not mean it provides a basis for a separate cause of action." (Jan. 26, 2026 Order, p. 4.) The demurrer is sustained with leave to amend as to the NIED claim.

Fourth Cause of Action: IIED

To plead IIED, a plaintiff must plead (1) extreme and outrageous conduct by the defendant, (2) intent to cause emotional distress or reckless disregard of the risk of causing the same, (3) severe emotional distress, and (4) causation. (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 494.) To qualify as "extreme and outrageous," the conduct must be "so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community." (*Id.*, p. 496 [quoting Rest.2d Torts, § 46, com. d, p. 73].) "Liability for intentional infliction of emotional distress 'does not extend to mere insults, indignities, threats, annoyances, petty oppressions, or other trivialities.'" (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1051 [quoting *Molko v. Holy Spirit Assn.* (1988) 46 Cal.3d 1092, 1122 (overruled on another ground by *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 853, fn. 19)].) That allegations are insufficiently extreme and outrageous as a matter of law is a proper ground on which to sustain a demurrer. (*Cochran, supra*, 65 Cal.App.4th 488, 494.)

The Court sustained the original complaint's IIED claim upon finding that it alleged a "garden-variety claim for medical malpractice" and did not allege conduct sufficiently "extreme and outrageous" to support IIED liability. (Jan. 26, 2026 Order, p. 5.) The allegations Plaintiff makes in connection with the FAC's IIED claim are simply more rhetorically colorful recitations of the same facts that support her other causes of action. Those facts still do not rise to the level of "extreme and outrageous conduct" as a matter of law. The demurrer is SUSTAINED as to this cause of action with leave to amend.

Uncertainty

“[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (*Mahan v. Charles W. Chan Ins. Agency, Inc.* (2017) 14 Cal.App.5th 841, 848, fn. 3.) “[E]ven where a complaint is in some respects uncertain, . . . ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly’s of California, Inc.* (1993) 14 Cal.App.4th 612, 616.)

SVH argues that the FAC is uncertain because it does not sufficiently distinguish the conduct attributable to SVH from that attributable to Marin Health, instead lumping these defendants together. The content under the subheadings for each cause of action does often attribute conduct to “Defendants.” However, the allegations under the “General Allegations” subheading distinguishes between the two defendants and tells SVH what Plaintiff is alleging as to that entity specifically. (FAC, ¶¶ 14-15; see also ¶ 36 [SVH-specific allegations in connection with IIED claim].) The FAC is not a model of precision, but it is so not incomprehensible that SVH is powerless to understand the allegations against it and further clarify them through discovery.

Duplicative Causes of Action

Like Marin Health, SVH contends² that the first three causes of action are duplicative. Everything the Court said about how all of the allegations supporting the medical malpractice claim are offered in connection with the other negligence claim applies to SVH as well, and SVH’s demurrer to the medical malpractice claim is SUSTAINED with leave to amend. Likewise, for the same reasons discussed in its ruling on Marin Health’s demurrer, the Court holds that the NIED claim is duplicative. SVH’s demurrer to the NIED claim is SUSTAINED with leave to amend.

Fourth Cause of Action: IIED

SVH’s demurrer to the IIED claim is SUSTAINED with leave to amend for the reasons described above in connection with Marin Health’s demurrer to the same claim.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-qov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjjEOSHnZEGafG.1>

² SVH’s discussion of the Medical Injury Compensation and Reform Act (MICRA) appears to be a non sequitur. If SVH is arguing that MICRA means one of Plaintiff’s causes of action fails to state a claim and so is subject to demurrer, it does not explain how or why.

Meeting ID: 161 548 7764
Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0007202

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: ERICK CHATEL, ET AL	
vs.	
DEFENDANT: SHELLY JEAN GAYNER	

NATURE OF PROCEEDINGS: DEMURRER

RULING

Defendant Shelly Jean Gayner's demurrer is overruled.

Procedural Deficiency

While Defendant's counsel states in his declaration that he met and conferred prior to filing the demurrer, his declaration reflects that no meet and confer efforts were conducted "in person, by telephone, or by video conference" as required by Code of Civil Procedure Section 430.41(a)(3). The demurrer will not be overruled on this basis. (Code Civ. Proc. § 430.41(a)(4).) The Court nevertheless reminds Defendant to follow all applicable rules when filing matters with the court.

Allegations in Plaintiff's Complaint

Plaintiffs Erick Chatel aka Erick Scarecrow ("Chatel") and ESC-Toy Ltd. ("ESC") allege that Chatel is the founder, CEO and sole shareholder of ESC, a creator, designer and manufacturer of games and collectable merchandise licensed from major video game owners and vendors including titles associated with Sony Interactive Entertainment LLC ("SIE"). Defendant Shelly Jean Gayner was formerly employed by SIE as an in-house attorney and served as SIE's Director of Licensing. On information and belief, Defendant signed a nondisclosure agreement with SIE in 1998 which precluded her from disclosing or using confidential SIE information during and after her employment with SIE, but she did not disclose this agreement when working with Plaintiffs or their counsel. While employed with SIE, Gayner worked with Plaintiffs regarding the licensing of SIE merchandise and negotiated and signed a Merchandise License Agreement between the parties in January 2014. The agreement designated Defendant as SIE's primary notice contact and Section 8.1 contained mutual confidentiality provisions requiring both parties to maintain the confidentiality of disclosed information.

When Defendant left her employment at SIE in 2014, she signed a severance and settlement agreement with SIE. Defendant then practiced law in private practice, and established an attorney-client relationship with Plaintiffs in 2017 in connection with Plaintiffs' dealings and disputes with SIE and related entities. Defendant did not provide any written engagement agreement or conflict waiver to Plaintiffs and did not explain her actual or potential conflict with SIE or her obligations to SIE under the confidentiality agreements she signed with SIE. In 2020, ESC filed an action against SIE in federal court, represented by Maschoff Brennan ("MABR"), in which it filed a declaration from Defendant which extensively utilized SIE confidential information. Defendant also leaked ESC's privilege log and its contents to SIE which contained nearly five years of attorney-client privileged communications and work product, and she disclosed confidential information of both ESC and SIE during two depositions. The judge in the federal court action disqualified MABR from representing ESC due to Defendant's conflicts and improper disclosures, finding that Defendant improperly shared SIE's privileged information with ESC and MABR. The judge also issued a protective order that severely restricts ESC's ability to use Defendant-related evidence in its litigation against SIE. As a result, Plaintiffs lost their chosen counsel after years of representation, are unable to use critical evidence, and face increased litigation costs, delays, loss of settlement leverage, and reputational damage.

Plaintiffs' First Cause of Action alleges professional negligence/legal malpractice, the Second Cause of Action alleges breach of fiduciary duty, the Third Cause of Action alleges breach of attorney-client confidentiality and privilege, the Fourth Cause of Action alleges intentional interference with contractual relations, the Fifth Cause of Action alleges constructive fraud, and the Sixth Cause of Action alleges violation of Business & Professions Code Section 6068(E).

Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law, and it raises only a question of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "ordinarily is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099 [citation and internal quotations omitted].) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe*, 42 Cal.4th at 551, fn. 5.) The court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Request for Judicial Notice

Defendant's request for judicial notice of the Complaint (Exhibit A), the motion to disqualify MABR in the federal court action (Exhibit B), and the Order to Disqualify MABR in the federal court action (Exhibit C), is granted. (Evid. Code §§ 452, 453.)

In their Opposition, Plaintiffs refer to a "Counter-RJN" and a "Steiner Declaration" (see Opposition, pp. 7:9, 7:19-20, 7:26) but they failed to file any such documents with the Court

with their Opposition. The documents Plaintiffs filed and served on June 5th and June 8th (after Defendant filed her Reply) are untimely and will not be considered by the Court. The Court therefore does not take judicial notice of any additional documents, including court orders, from the separate pending malpractice action in Orange County or from the federal district court case. The Court would not consider Plaintiff's counsel declaration in any event as extrinsic materials are not considered in ruling on a demurrer. (See *Price v. Dames & Moore* (2001) 92 Cal.App.4th 355, 359; *McKenney v. Purepac Pharmaceutical Co.* (2008) 167 Cal.App.4th 72, 77.)

Discussion

Unclean Hands

Defendant demurs to all six causes of action on the ground that they are barred by the doctrine of unclean hands.

A demurrer based on an affirmative defense, including unclean hands, is sustained only where the affirmative defense clearly appears on the face of the complaint. (*CrossTalk Productions, Inc. v. Jacobson* (1998) 65 Cal.App.4th 631, 635.) "A demurrer based on an affirmative defense cannot properly be sustained where the action *might* be barred by the defense, but is not *necessarily* barred. Nor is a demurrer the appropriate procedure for determining the truth of disputed facts or what inferences should be drawn where competing inferences are possible." (*Ibid.* [citations omitted] [emphasis in original].)

The doctrine of unclean hands is generally a question of fact. (*Id.* at p. 639.) "Since the doctrine of unclean hands is heavily fact dependent, it is a uniquely poor candidate to support a demurrer. Nevertheless, there have been unusual situations in which a defense of unclean hands has been established solely by the allegations of the complaint." (*Id.* at p. 641.) In *Blain v. Doctor's Co.* (1990) 222 Cal.App.3d 1048, the court applied the doctrine of unclean hands to bar a doctor's legal malpractice claim where he alleged that he lied in his deposition on the advice of his attorney. The court, citing the Restatement Second of Torts, Section 889, stated: "'One is not barred from recovery for an interference with his legally protected interests *merely* because at the time of the interference he was committing a tort or a crime . . .'" (*Id.* at p. 1060 [emphasis in original] [citation omitted].) The court explained that "whether there is a bar depends upon the analogous case law, the nature of the misconduct, and the relationship of the misconduct to the claimed injuries." (*Id.* at p. 1060.) The court concluded that the doctrine applied to bar the plaintiff's claims because "[the plaintiff's] emotional distress, if any, is attributable to his own knowing misbehavior. Even the most naive must know that lying under oath is illegal.... [T]he relationship of misconduct to harm in this case is direct and not incidental. The misconduct was, so it is alleged, the instrumentality of harm." (*Id.* at p. 1063.)

Plaintiffs argue that the doctrine of unclean hands does not appear on the face of their Complaint because they allege the federal district court disqualified Plaintiffs' counsel MABR due to Defendant's conduct, not their own conduct. (Complaint, ¶¶23-25.) Defendant argues that the allegations in Plaintiff's Complaint actually mischaracterize the federal court's Order, which also reprimanded Plaintiffs for their violation of the duty of candor and found Plaintiff's conduct to be another basis for the disqualification.

The federal district court Order is attached as Exhibit C to Defendant's Request for Judicial Notice. In subsection 2 of this Order ("[Defendant's] Conflict of Interest"), the court found that there was a substantial relationship between Defendant's work at SIE and her work with Plaintiff ESC, that Defendant had a duty to keep the confidences of SIE, and that her subsequent work with ESC on a substantially similar matter created a conflict of interest. In subsection 3 ("Imputation"), the court concluded that Defendant's conflict and improper representation of SIE and then ESC could be imputed to MABR and, as a result, MABR must be disqualified. In subsection 4 ("Appearance of Impropriety"), the court found that Defendant's work with SIE, ESC and MABR gave rise to the appearance of impropriety and stated that the court "exercises its inherent power (as an additional ground) to disqualify MABR from further representation herein."

Defendant's argument that the doctrine of unclean hands applies is based on subsection 5 of the Order ("Duty of Candor"), which provides in part:

. . . ESC, through MABR's representation, has repeatedly changed positions regarding their relationship with [Defendant], positions which are completely at odds with each other.

After ESC filed the 2020 Gayner Declaration, SIE filed a motion to strike the declaration. ESC opposed the motion to strike, saying that "[Defendant] is not attempting to represent ESC in this action and is thus not accepting representation adverse to SIE." Additionally, they argued, "ESC's contact with [Defendant] does not put ESC's counsel in a position to disclose or use SIE's privileged information to assist ESC, in other words, [Defendant] has *no knowledge of this action*."

In 2020, after ESC filed the 2020 Gayner Declaration, SIE emailed MABR to obtain more information. In response, MABR said "we will be represented [Defendant] in this matter." SIE protested this representation and MABR agreed to decline representing [Defendant] to avoid disputes, but said, that with regard to ESC and [Defendant], "there was absolutely no confidential information, attorney-client communications, or attorney work product shared."

Subsequently, on June 3, 2021, ESC identified [Defendant] as a witness likely to have [discoverable] information relevant to the case. . . .

Later, SIE asked ESC to "identify each person employed by ESC or retained by ESC as counsel" who communicated with any third party about ESC's dispute with SIE and/or this action. ESC identified . . . [Defendant], and counsel of record" Subsequently, the parties met and conferred regarding the

deposition topic of [Defendant]. Afterwards, SIE's counsel wrote to MABR: "During a meet and confer on May 2nd, ESC represented that [Defendant] was solely ESC's attorney on matters that did not relate to SIE or this lawsuit, and that communications or information exchanged between ESC and [Defendant] that concerned SIE . . . are *not* privileged." . . .

Subsequently, in [Plaintiff Chatel's] declaration, he stated that in 2017, he "engaged [Defendant] to provide legal advise and counsel to ESC in a variety of matters, including the drafted and preparation of general agreements involving ESC's intellectual property, as well as the negotiation and finalization of contracts between ESC and third parties," and that "much of that work did not involve SIE." That representation implicitly concedes that [Defendant] did *some* work which *did* involve SIE. Indeed, [Plaintiff Chatel] acknowledges that "as part of her engagement by ESC, [Defendant] did advise and assist ESC in connection with ESC's work and negotiations with [SIE]" . . . [Plaintiff Chatel] stated that "[f]rom [his] perspective (and necessarily that of ESC), from approximately August 2017 until the present, Ms. Gayner has been engaged as an outside attorney for ESC, providing . . . legal services and counsel" . . .

In sum, MABR and ESC have breached their duty of candor. MABR and ESC have repeatedly changed their position regarding their relationship with [Defendant], claiming that [Defendant] "has no knowledge of this action" and yet admitting that [Defendant] has provided ESC with legal advice for their litigation with SIE. Additionally, MABR said that there was "absolutely no confidential information . . . shared" yet subsequently claimed that their communications with [Defendant] as to SIE were privileged. MABR breached the duty of the candor owed to the court, and this provides another basis for disqualification of the firm.

(Order, RJN Exh. C at pp. 19-20 [internal citations omitted] [emphasis in original].)

The Court does not sustain the demurrer based on the doctrine of unclean hands. In its Order, the federal court first concluded that disqualification was warranted because of Defendant's conflict of interest, which was imputed to Plaintiffs' counsel MABR. The court subsequently addressed Plaintiffs' breach of their duty of candor and concluded it was "another basis" for disqualification. Thus, the order can be interpreted to read that MABR would have been disqualified regardless of Plaintiffs' breach of the duty of candor. As a result, the Court cannot find based on the allegations of the Complaint, and the language of the federal court Order, that the doctrine of unclean hands necessarily bars Plaintiffs' claims. Further, as Plaintiffs point out in their Opposition, Plaintiffs' claims are based on more than just the disqualification of MABR. Plaintiffs also allege that Defendant produced privileged material to SIE in a document production and during her depositions, failed to disclose to Plaintiffs her

conflict and agreements with SIE, and failed to provide an engagement letter or conflict waiver. (Complaint, ¶¶ 11, 15, 19, 22.) The Court cannot sustain a demurrer based on unclean hands because it challenges only part of Plaintiffs' claims. A demurrer does not lie to only part of a cause of action. (See *Cornejo v. Lightbourne* (2013) 220 Cal.App.4th 932, 944.)

Statute of Limitations

Defendant also demurs to all six causes of action on the ground that they are barred by the one year statute of limitations under Code of Civil Procedure Section 340.6(a), which provides in part: "An action against an attorney for a wrongful act or omission, other than for actual fraud, arising in the performance of professional services shall be commenced within one year after the plaintiff discovers, or through the use of reasonable diligence should have discovered, the facts constituting the wrongful act or omission" "[S]ection 340.6(a) applies to a claim when the merits of the claim will necessarily depend on proof that an attorney violated a professional obligation—that is, an obligation the attorney has *by virtue of* being an attorney—in the course of providing professional services." (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1238 [emphasis in original].) Thus, this limitation period also applies to a client's claims against the attorney for breach of fiduciary duty and for breach of contract. (See *Stoll v. Superior Court* (1992) 9 Cal.App.4th 1362, 1368-1369 [breach of fiduciary duty]; *Southland Mechanical Constructors Corp. v. Nixen* (1981) 119 Cal.App.3d 417, 429, disapproved on other grounds in *Laird v. Blacker, supra*, (1992) 2 Cal.4th 606, 617 [breach of contract]; *Levin v. Graham & James* (1995) 37 Cal.App.4th 798, 805.)¹

"In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972 [citations omitted]; see also *Childs v. State of California* (1983) 144 Cal.App.3d 155, 161 ["[a] demurrer on the ground of the bar of the statute of limitations *does not lie* where the complaint merely shows that the action *may have been barred*. It must appear affirmatively that, upon the facts stated, the *right of action is necessarily barred*"] [citation omitted][emphasis in original].) "[T]here are no hard and fast rules for determining what facts or circumstances will compel inquiry by the injured party and render him chargeable with knowledge. [Citation.] It is a question for the trier of fact. However, whenever reasonable minds can draw only one conclusion from the evidence, the question becomes one of law." (*Brewer v. Remington* (2020) 46 Cal.App.5th 14, 28 [citations and internal quotations omitted].)

Defendant argues that the facts alleged in the Complaint indicate that Plaintiffs should have discovered facts concerning Defendant's alleged wrongdoing as of at least September 7, 2023, when SIE filed its motion to disqualify MABR arguing that MABR induced Defendant to disclose confidential SIE information, engaged in conduct giving rise to the appearance with impropriety, and violated its duty of candor. (RJN Exh. C at p. 9.) Plaintiffs filed their Complaint on August 8, 2025, almost two years later. Defendant also argues that Plaintiffs had

¹ Plaintiffs do not dispute that the one-year period under Section 340.6(a) applies to some of their claims, but suggest that it does not apply to their interference with contractual relations and constructive fraud causes of action. Plaintiffs do not identify any other limitations periods they contend apply to these two causes of action and only raise this issue in passing. As Plaintiffs fail to support this argument with any authority or analysis, the Court does not consider it.

suffered actual injury before September 7, 2023 because they had already spent money on legal fees and costs and had already experienced negative results in litigation.

Plaintiffs argue that the filing of SIE's motion to disqualify is not the trigger date because the disqualification motion was directed at MABR, Plaintiffs' counsel, and Plaintiffs saw it as a litigation tactic. Plaintiffs argue that they had no reason to suspect as of that time that Defendant had committed malpractice against them because Defendant concealed her wrongful acts against Plaintiffs and her agreements with SIE. (See Complaint, ¶¶11, 15.) Plaintiffs also argue that they did not sustain actual injury until the day the disqualification Order was entered – November 27, 2023 – because at that point their counsel was disqualified from representing them any further in the litigation. Plaintiffs contend that given this trigger date, their claims are timely under the parties' tolling agreement. (See Complaint, ¶7 [““On November 21, 2024, Plaintiffs and Gayner entered into a Tolling Agreement suspending the statute of limitations for one year from that date. This action is filed timely”].)

The Court does not sustain the demurrer on the basis of the statute of limitations as this defense is not clearly shown on the face of the Complaint. The Complaint does not clearly reflect when Plaintiffs discovered, or through the use of reasonable diligence should have discovered, the facts regarding Defendant's conduct that resulted in the disqualification Order, or when Plaintiffs suffered actual injury from this conduct. While Defendant argues that Plaintiffs suffered actual injury before the Order was entered because they incurred attorney's fees to respond to the disqualification motion, Defendant relies on pleadings of which she does not request judicial notice, and the Complaint does not reference any such pleadings or fees. Similarly, Defendant argues that Plaintiffs were “subject to various negative results in litigation” before the disqualification Order, but Defendant fails to identify any such results and no such results appear on the face of the Complaint. Defendant's arguments are speculative and not based on actual allegations of the Complaint.

Finally, the Court notes that Plaintiffs allege more than the disqualification Order as a basis for their claims; they also allege that Defendant disclosed privileged information to SIE in the litigation against SIE and that Defendant failed to provide a written engagement agreement or conflict waiver. To the extent Plaintiffs' claims are based on these events, they may possibly be untimely. However, “where a plaintiff sues a defendant for legal malpractice alleging several distinct acts of malpractice with respect to a single representation, a demurrer is properly granted on the basis of the statute of limitations only if *each* alleged act of malpractice is time barred.” (*Pointe San Diego Residential Community, LP v. Propocio, Cory, Hargreaves & Savich, LLP* (2011) 195 Cal.App.5th 265, 274 [emphasis in original].) Therefore, the existence of these other allegations does not warrant the sustaining of a demurrer if the demurrer cannot also be sustained as to the disqualification Order. The demurrer is overruled.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in

accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-gov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjiEOSHnzEGafG.1>

Meeting ID: 161 548 7764

Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0007352

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: CHARLES NORMAN

vs.

DEFENDANT: EDWARD PAGE
ALLINSON, ET AL

NATURE OF PROCEEDINGS: MOTION – DISCOVERY – DISCOVERY FACILITATOR PROGRAM

RULING

Plaintiff Charles Norman (“Plaintiff”) filed a motion to compel further discovery responses to requests for production of documents, special interrogatories, form interrogatories, and requests for admission. Plaintiff asserts that he received boilerplate objections and incomplete or evasive responses. Plaintiff also requests monetary sanctions, although a pro per litigant may recover costs, but not attorney fees incurred in bringing a discovery motion. (*Aragam v. Ratan* (1999) 73 Cal.App.4th 1173, 1180.)

The parties were recently referred to Discovery Facilitator Michael Lopez for potential resolution of the discovery dispute. The court shall continue this motion to August 5, 2026 at 1:30 pm to allow the parties to meet with the facilitator per local rule MCR 2.13. In the event the matter is not resolved, the parties shall file a Declaration of Non-Resolution in conformity with the local rule MCR Civ. 2.13H.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-qov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjiEOSHNgEGafG.1>

Meeting ID: 161 548 7764
Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0008156

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: WELLS FARGO BANK, N.A.	
vs.	
DEFENDANT: YULIYA A. GHOSH, AN INDIVIDUAL	

NATURE OF PROCEEDINGS: MOTION – SUMMARY JUDGMENT

RULING

Plaintiff Wells Fargo Bank, N.A.’s (“Plaintiff”) Motion for Summary Judgment against defendant Yuliya A Ghosh (“Defendant”) is GRANTED.

LEGAL STANDARD

A party may move for summary judgment “if it is contended that the action has no merit or that there is no defense to the action or proceeding.” (Code Civ. Proc., § 437c, subd. (a)(1).) “[I]f all the evidence submitted, and all inferences reasonably deducible from the evidence and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law,” the moving party will be entitled to summary judgment. (*Adler v. Manor Healthcare Corp.* (1992) 7 Cal.App.4th 1110, 1119.)

“Where a plaintiff moves for summary judgment, the plaintiff has the burden of showing there is no defense to a cause of action by proving each element of the cause of action. (*Oldcastle Precast, Inc. v. Lumbermens Mutual Casualty Co.* (2009) 170 Cal.App.4th 554, 564-565.) Once the plaintiff meets this initial burden, the burden shifts to the defendant to show a triable issue of material fact exists as to that cause of action or a defense thereto. (*Id.*, at 564.) To satisfy this burden, the opposing party must present admissible evidence and may not rely upon the allegations or denials of its pleading. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.)

“When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most

favorable to the party opposing summary judgment.” (*Avivi v. Centro Medico Urgente Med. Ctr.* (2008) 159 Cal.App.4th 463, 467, as modified (Jan. 24, 2008).)

DISCUSSION

With this Motion, Plaintiff seeks Summary Judgment of both causes of action in the complaint: (1) breach of written contract and (2) breach of contract (implied in fact).

The elements of a cause of action for breach of contract are: (1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff. (*Coles v. Glaser* (2016) 2 Cal.App.5th 384, 391, internal citations omitted.) If the action is based on an alleged breach of a written contract, the complaint may set out the terms in the body of the complaint, attach a copy of the written, or plaintiff may plead the legal effect of the contract rather than its precise language. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 199.)

A cause of action for breach of implied contract has the same elements as does a cause of action for breach of contract, except that the promise is not expressed in words but is implied from the promisor's conduct. (*Aton Ctr., Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1230. Internal citations omitted.) Both types of contracts are identical in that they require a meeting of minds or an agreement. (*Ibid.*) Thus, it is evident that both the express contract and contract implied in fact are founded upon an ascertained agreement or, in other words, are consensual in nature, the substantial difference being in the mode of proof by which they are established. (*Ibid.*)

Plaintiff's Facts in Support of Motion

In support of its Motion, Plaintiff's Separate Statement sets forth the following facts:

Defendant applied for and was issued a Wells Fargo credit card (“Subject Account”) ending in 3337. (Plaintiff's Undisputed Material Fact (“PUMF”) Nos. 1, 15.) Plaintiff sent Defendant the credit card along with the written Customer Agreement associated with the credit card. (PUMF Nos. 2, 16.) Pursuant to the terms of the written Customer Agreement, Defendant accepted the terms of the written agreement by using the Wells Fargo Credit Card. (PUMF Nos. 3, 17.)

Pursuant to the terms of the Customer Agreement associated with the card, Plaintiff would extend credit to Defendant whereby Defendant could charge goods, services, or obtain cash advances on the credit line. (PUMF Nos. 4, 18.) In exchange, Defendant was to repay the principal amount lent plus applicable interest and finance charges. (PUMF Nos. 5, 19.) In accordance with the Customer Agreement, Defendant used the account, and made payments, charges, and incurred a balance thereon. (PUMF Nos. 6, 20.) Plaintiff sent Defendant monthly statements of the Subject Account each and every billing period. (PUMF Nos. 7, 21.) The address Plaintiff mailed the statements to was: Yuliya A Ghosh 116 Neds Way, Tiburon, CA 94920-1536. (*Id.*, see also Ross Decl., ¶ 4-7, Ex. 2, (mailing address listed bottom of page 1 of each statement).) The statements of the account reflected all charges, payments, minimum payment due that billing period, and any fees and interest incurred for each billing period.

(PUMF Nos. 8, 22.) There is no record of any unresolved disputes on the account. (PUMF Nos. 9, 23.) Furthermore, there is no record of any active lawsuits against Wells Fargo Bank, N.A. for unresolved disputes on this credit card account. (PUMF Nos. 10, 24.) Defendant's last payment on the Subject Account was on July 21, 2024. (PUMF Nos. 11, 25.) Thereafter, no further payments were made by the Defendant, and therefore, pursuant to the terms of the Customer Agreement, Defendant was in default. (PUMF Nos. 12, 26.)

The balance due on Defendant's Subject Account is \$7,086.12. (PUMF Nos. 13, 27.) As a result of Defendant's unpaid balance, Plaintiff has been damaged in the sum of \$7,086.12. (PUMF Nos. 14, 28.)

With these facts, the Court finds Plaintiff has successfully met its burden on summary judgment by proving each element of each cause of action. The burden therefore shifts to Defendant to demonstrate a triable issue of material fact with respect to the elements of the causes of action or a defense thereto.

In Opposition, Defendant asserts there are multiple triable issues surrounding the nature and existence of an alleged contract, the terms of said contract, the enforceability of said terms, and the amount of the alleged damages. However, Defendant failed to dispute any of Plaintiff's facts in the Opposition Separate Statement. The Court further notes that no Objections to Evidence nor a Motion to Compel Arbitration were separately filed. To the extent Defendant attempted to include either in the Opposition Memorandum of Points and Authorities, those requests are not properly before this Court. (California Rules of Court, rule 3.1350, subds. (f)(1)-(2), (h), rule 3.1354, subd. (b) [requiring evidentiary objections to be separately served and filed]; *Hodjat v. State Farm Mut. Auto. Ins. Co.* (2012) 211 Cal.App.4th 1, 9 [upholding the trial court's refusal to rule on objections not filed in a separate document]; See also Code Civ. Proc., § 1281.2.)

The Court then considers whether the Additional Material Facts submitted in Defendant's Separate Statement ("AMF") create a triable issue of material fact as to the elements of the causes of action or establish a defense to Plaintiff's claims. The Court finds that they do not. Each AMF cites to Defendant's Declaration as the supporting evidence for the fact. No such Declaration was filed with the Court. Accordingly, none of the AMF are supported as required by competent evidence.

For these reasons, the Motion for Summary Judgment is GRANTED.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-qov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjiEOSHnzEGafG.1>

Meeting ID: 161 548 7764
Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 0701//26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0008925

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: ALINA ANDRES

PLAINTIFF: JEAN W. BUSH, ET AL

vs.

DEFENDANT: MARIAN CHRISTINE
BRODIGAN, ET AL

NATURE OF PROCEEDINGS: DEMURRER

RULING

Defendant Marian Christine Brodigan's ("Defendant" or "Brodigan") Special Motion to Strike pursuant to Code of Civil Procedure section 425.16 ("anti-SLAPP Motion") is GRANTED. Attorneys' fees and costs are awarded to Defendant in the amount of \$15,060.

Brodigan's Demurrer to the Complaint is SUSTAINED without leave to amend.

BACKGROUND

Plaintiff Jean W. Bush, individually, and as trustee of The Jean W. Bush Trust Dated June 28, 1988, as Amended and Restated, as trustee of The Gerald Bush Family Trust Dated January 1, 2002, as trustee of The Gerald Bush Exempt Trust, and as trustee of The Gerald Bush Non-Exempt Trust ("Plaintiff" or "Bush") filed this action containing a sole cause of action for rescission of contract on January 26, 2026. The contract at issue is a written settlement agreement which was reached at the conclusion of an in-person mediation conducted by Stephen H. Sulmeyer J.D., Ph.D. of JAMS in San Francisco on December 10, 2025. The mediation and settlement arose from claims made by Defendant stemming from an alleged sexual assault committed by Paul Guerin ("Guerin"), the husband of Plaintiff.

Allegations in Complaint

The Complaint seeks relief under Civil Code section 1689 which provides: "A party to a contract may rescind the contract in the following cases: If the consent of the party rescinding, or of any party jointly contracting with him, was given by mistake, or obtained through duress, menace, fraud, or undue influence, exercised by or with the connivance of the party as to whom he rescinds, or of any other party to the contract jointly interested with such party." (Civ. Code, § 1689, subd. (b)(1).) A party may also rescind for failure of consideration if the consideration

for the obligation of the rescinding party fails, in whole or in part, through the fault of the party as to whom he rescinds, if the consideration for the obligation of the rescinding party becomes entirely void from any cause, or if the consideration for the obligation of the rescinding party, before it is rendered to him, fails in a material respect from any cause. (*Id.*, at subd. (b)(2).)

The Complaint alleges as follows:

After the sexual assault allegations, criminal charges were filed against Guerin, who pleaded guilty to criminal charges and served a sentence in the Marin County Jail. (Compl., ¶ 11.) “The fact of the incident being alleged and the events that followed was extremely upsetting to Plaintiff who, after she learned of the alleged incident, began to suffer from extreme and severe stress, humiliation, anxiety and emotional distress. This extreme and severe stress, humiliation, anxiety and emotional distress manifested itself in numerous ways, both physically and mentally, including a substantial weight loss, and included the inability to think clearly and rationally and affected her ability to conduct her affairs (collectively ‘Bush’s State of Mind’).” (*Id.*, ¶ 12.) On or about July 14, 2025, over a year after the alleged sexual assault, Bush and Guerin received a letter dated July 10, 2025, asserting a one million dollar (\$1,000,000) civil claim against them by Brodigan. (*Id.*, ¶ 13.) In pertinent part, the letter accused Bush of “aiding and abetting” Guerin’s alleged acts of April 11, 2024. (*Ibid.*) Receipt of this letter, and the assertion of the claim against Plaintiff, multiplied and exacerbated Plaintiff’s already extreme and severe stress, humiliation, anxiety and emotional distress. (*Ibid.*) Plaintiff was not thinking clearly and was mentally very vulnerable, including to undue influence. (*Ibid.*) There is not, and has never been, any basis, in fact or in law, for any claim, of any type or nature, by Brodigan against Bush. (*Id.*, ¶ 14.) Bush did not have, and has never had, any liability or responsibility for Brodigan’s claims and allegations against Guerin, and neither aided nor abetted Guerin’s acts of April 11, 2024. (*Ibid.*) The Complaint also alleges Plaintiff was not represented by counsel (*id.*, ¶ 17), that she did not understand the legal issues regarding her alleged responsibility (*id.*, ¶ 18), and that she signed the settlement agreement under duress, mistake and undue influence (*id.*, ¶ 19). Plaintiff also contends that she signed the settlement agreement on behalf of Trusts for which she did not have authority to sign. (*Id.*, ¶ 20.) The Complaint alleges Plaintiff’s mistake was unilateral, as she did not understand that she could decline to be a party to the settlement agreement. (*Id.*, ¶ 21.) However, it also alleges that the settlement agreement should be set aside and rescinded because “the signature of Plaintiff was procured as a result of Plaintiff being the target of financial elder abuse” and “[h]ad Plaintiff been in her right mind at the time she was presented with the [settlement agreement], she would not have executed [it].” (*Id.*, ¶ 24.) “[G]iven that Bush had no responsibility for Brodigan’s claims and allegations against Guerin, Bush received no benefits under the Settlement Agreement; there was no consideration given as to Bush under the Settlement Agreement or, alternatively, there was a failure of consideration.” (*Id.*, ¶ 23.)

Motions Before the Court

On April 1, 2026, Brodigan filed the anti-SLAPP Motion and Demurrer presently before the Court.

With the anti-SLAPP Defendant seeks to strike the allegations in the Complaint for rescission, as set forth at paragraphs 13-25. Defendant also seeks an order awarding attorneys’

fees and costs against Plaintiff in the amount of \$27,425 incurred by Defendant in drafting this Motion, in addition to \$20,080 in fees and costs incurred in drafting the reply. The Motion is made on the grounds that the allegations as set forth at paragraphs 13-25 arise from acts in furtherance of Defendant's right to petition and free speech; conduct in furtherance of the exercise of the constitutional right of petition and speech; and, that such rights will be chilled if the allegations are allowed to stand.

The Demurrer asserts that the claim for rescission fails to allege facts sufficient to state a cause of action.

The Court will address each Motion in turn.

ANTI-SLAPP – LEGAL STANDARD

The anti-SLAPP statute provides that “[a] cause of action against a person arising from any act of that person in furtherance of the person’s right of petition or free speech . . . shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.” (Code Civ. Proc., § 425.16(b)(1).)

A cause of action will be stricken under the anti-SLAPP statute if both parts of a two-prong analysis show that the claim arises from protected activity and lacks minimal merit. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 819-820.) In the first prong, the defendant meets its initial burden by demonstrating that the challenged cause of action is one “arising from” protected activity. If the defendant makes this showing, the burden shifts to the plaintiff for the second prong, requiring the plaintiff to establish a “probability” that he will prevail on the claim. (*Id.*; Code Civ. Proc., § 425.16(b).) In order to establish the requisite probability of prevailing, the plaintiff need only have “stated and substantiated a legally sufficient claim.” (*Navellier v. Sletten* (2002) 29 Cal.4th 82, 88–89.) Put another way, the plaintiff must demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment if the evidence submitted by the plaintiff is credited. (*Ibid.*)

“In determining whether a plaintiff meets its responsive burden under the second prong, the court shall consider the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based. In doing so, [t]he court does not weigh evidence or resolve conflicting factual claims... It accepts the plaintiff’s evidence as true, and evaluates the defendant’s showing only to determine if it defeats the plaintiff’s claim as a matter of law. Courts have described this procedure as a motion for summary judgment in reverse. Rather than requiring the *defendant* to defeat the plaintiff’s pleading by showing it is legally or factually meritless, the motion requires the *plaintiff* to demonstrate that he possesses a legally sufficient claim which is substantiated, that is, supported by competent, admissible evidence. Consistent with this summary-judgment-like procedure, the court must draw all reasonable inferences from the evidence in favor of [the party opposing the anti-SLAPP motion].” (*Area 55, LLC v. Tomasevic, LLP* (2021) 61 Cal.App.5th 136, 151-152 [citations and internal quotations omitted].)

ANTI-SLAPP – DISCUSSION

Defendant argues that the communications at issue in this case (a demand letter and negotiations during mediation) represent constitutionally protected speech and that the Complaint constitutes an attack on Brodigan's petition and speech rights which falls squarely within the ambit of California's anti-SLAPP suit statute. Moreover, Defendant contends that the mediation is protected by statutory confidentiality provisions which govern mediation.

First Prong – Recission Cause of Action “Arises From” Protected Activity

The statutory phrase “cause of action ... arising from” means simply that the defendant's *act* underlying the plaintiff's cause of action must *itself* have been an act in furtherance of the right of petition or free speech. (*City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 78 (*City of Cotati*).) Allegations of protected activity that are “‘merely incidental’ or ‘collateral’” or that “‘merely provide context, without supporting a claim for recovery, cannot be stricken under the anti-SLAPP statute.” (*Baral v. Schnitt* (2016) 1 Cal.5th 376, 394 (*Baral*).) “In deciding whether the ‘arising from’ requirement is met, a court considers ‘the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.’” (*City of Cotati, supra*, at p. 79, quoting § 425.16, subd. (b).)

Section 425.16 protects any conduct in furtherance of the exercise of the constitutional right of petition. (*Id.*, subd. (e)(4).) Prelitigation communications may qualify for this protection so long as they concern the subject of the dispute and are made in anticipation of litigation contemplated in good faith and under serious consideration (*Flickinger v. Finwall* (2022) 85 Cal.App.5th 822, 832–33, Internal citations omitted.) However, the “court must ‘distinguish between (1) speech or petitioning activity that is mere *evidence* related to liability and (2) liability that is *based on* speech or petitioning activity. Prelitigation communications ... may provide evidentiary support for the complaint without being a basis of liability.’ [Citation.] ‘[T]he mere fact that an action was filed after protected activity took place does not mean the action arose from that activity for the purposes of the anti-SLAPP statute.’ ” (*Area 51 Prods., Inc., supra*, 20 Cal.App.5th at pp. 594–95. Internal citations omitted.)

Guidance provided by our Supreme Court is that, in teasing out whether we are dealing with protected conduct under section 425.16, subdivision (b), “courts should consider the elements of the challenged claim and what actions by the defendant supply those elements and consequently form the basis for liability.” (*Ibid.*)

In this case, Plaintiff counters that the allegations regarding the demand letter and mediation are not protected because they are “merely evidence” and not the basis for liability. This Court disagrees.

Plaintiff is claiming the criminal charges against her husband caused her such distress that it “included the inability to think clearly and rationally and affected her ability to conduct her affairs.” (*Id.*, ¶ 12.) She further claims that the civil claim demand letter she received exacerbated this distress and her state of mind, including rendering her unable to think clearly and mentally vulnerable. (*Id.*, ¶ 13.) She claims that the scheduling of the mediation itself created further stress, anxiety and emotional distress and exacerbated the fragility of her state of mind even before the Mediation began. (*Id.*, ¶ 18.) She alleges the settlement agreement should

be rescinded because her signature was procured as a result of her being a target of financial elder abuse, which, had she been in her right mind, she would not have executed. (*Id.*, ¶ 24.) Specifically, she alleges that the settlement agreement was executed at the end of a long mediation day that “put enormous stress and anxiety” on her while she was suffering from extreme mental vulnerability. (*Id.*, ¶ 21.) The resultant stress, anxiety and extreme mental vulnerability caused Plaintiff to act against her best interests and under circumstances of duress and undue influence. (*Ibid.*)

She specifically asserts that the settlement agreement should be rescinded due to duress, mistake and undue influence. (*Id.*, ¶ 19.) The basis for these claims are the stress caused by the demand letter and mediation, and the only activities described supporting the duress, mistake, and undue influence allegations are the protected actions. Far from being collateral or mere evidentiary support, they form the elements of the claim for rescission. The claim is therefore based on protected petitioning activity and Defendant has satisfied the first prong of the anti-SLAPP analysis. (*Drell v. Cohen* (2014) 232 Cal.App.4th 24, 29.)

Second Prong – Plaintiff Does Not Show the Complaint has Minimal Merit

A court's second step ‘inquiry is limited to whether the [opposing party] has stated a legally sufficient claim and made a prima facie factual showing sufficient to sustain a favorable judgment. [The court] ... evaluates the defendant's showing only to determine if it defeats the plaintiff's claim as a matter of law.’ ” (*Optional Capital, Inc. v. Akin Gump Strauss, Hauer & Feld LLP* (2017) 18 Cal.App.5th 95, 113.) The plaintiff must demonstrate that the complaint is both legally sufficient and supported with admissible evidence. (*Ibid.* Internal citations omitted.)

Here the Complaint seeks rescission of the parties’ prior settlement agreement due to undue influence, duress, and mistake. (Compl., ¶ 19.)

Undue Influence

The doctrine of “undue influence” can be used to rescind an agreement under California law. (Civ. Code, § 1689, subd. (b)(1).) By statute, undue influence results from three scenarios:

- (1) In the use, by one in whom a confidence is reposed by another, or who holds a real or apparent authority over him, of such confidence or authority for the purpose of obtaining an unfair advantage over him;
- (2) In taking an unfair advantage of another's weakness of mind; or
- (3) In taking a grossly oppressive and unfair advantage of another's necessities or distress.

(*Martinez-Gonzalez v. Elkhorn Packing Co. LLC* (9th Cir. 2022) 25 F.4th 613, 625–26, citing Civ. Code, § 1575.) Undue influence, however, “cannot be used as a pretext to avoid bad bargains or escape from bargains which refuse to come up to expectations.” (*Id.*, citing *Odorizzi v. Bloomfield Sch. Dist.* (1996) 246 Cal.App.2d 123, 132.)

Essentially, undue influence involves “the use of excessive pressure to persuade one vulnerable to such pressure.” (*Ibid.*) The doctrine consists of two elements: (1) “undue susceptibility in the servient person” and (2) “excessive pressure by the dominating person.” (*Id.*; see also *Das v. Bank of Am.* (2010) 186 Cal.App.4th 727, 743 [undue influence requires one party to “t[ake] some advantage of the mental weakness or incapacity of the other party”]). The two elements act in balance. (*Id.*) If either exists to a large degree, the second need not be so great. (*Id.*)

Here, the Court is not convinced that Plaintiff has made a prima facie factual showing of excessive pressure by Defendant. There are no facts provided by Plaintiff that Defendant, the mediator, her husband, or Attorney Cantor pressured her into signing the settlement agreement.

Even if this Court could construe the allegations in the Complaint and affidavits to sufficiently show undue influence, Plaintiff’s claim for rescission due to undue influence still lacks minimal merit because the allegations that form the basis for the claim are protected by the litigation privilege. Communications preparatory to or in anticipation of the bringing of an action are within the protection of the litigation privilege of Civil Code section 47, subdivision (b). (*Bonni v. St. Joseph Health Sys.* (2022) 83 Cal.App.5th 288, 305.) A plaintiff cannot establish a probability of prevailing if the litigation privilege precludes a defendant’s liability on the claims. (*Osborne v. Pleasanton Automotive Co., LP* (2024) 106 Cal.App.5th 361, 382; see also *Flatley v. Mauro* (2006) 39 Cal.4th 299, 323 [litigation privilege relevant to second step of anti-SLAPP analysis where it presents substantive defense].) In this case, the only actions alleged that could conceivably amount to “pressure” are the sending of the demand letter and the subsequent participation in the mediation.

Although Plaintiff briefly attempts to argue that the litigation privilege does not apply because there was no basis for her potential liability, a party resisting the assertion of the litigation privilege must do more than simply assert that litigation to which the statement is related is without merit, and therefore the proponent of the litigation could not in good faith have believed it had a legally viable claim. (*Bailey v. Brewer* (2011) 197 Cal.App.4th 781, 790.) “To adopt such an interpretation would virtually eradicate the litigation privilege for all but the most clearly meritorious claims.” (*Ibid.*)

Plaintiff’s contention that the litigation privilege is inapplicable to her request for rescission on the ground that it is related to a contract also fails. The privilege applies to contract claims when it furthers the privilege’s underlying policies. (See, e.g., *McNair v. City and County of San Francisco* (2016) 5 Cal.App.5th 1154, 1169–1170.) A rule rejecting the application of the privilege to requests to rescind a settlement agreement would contravene these policies by impeding open settlement discussions and discouraging settlements. (See, e.g., *Flickinger v. Finwall*, *supra*, 85 Cal.App.5th at p. 838.)

Moreover, the Court is required to interpret broadly both the anti-SLAPP statute and the litigation privilege. (See § 425.16, subd. (a); *Action Apartment Assn., Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1241.) In doing so, the Court must conclude that Plaintiff failed to demonstrate a probability that she will prevail on her claim for rescission due to undue influence.

Duress

“Duress” as ground for extinguishment of contract by rescission envisions some unlawful action by a party by which one’s consent is obtained through fear. (*Keithley v. Civil Service Bd. of City of Oakland* (1970) 11 Cal.App.3d 443, 450.)

Per statute, duress consists of any of the following:

- (a) Unlawful confinement of the person of the party, or of the spouse of such party, or of an ancestor, descendant, or adopted child of such party or spouse.
- (b) Unlawful detention of the property of any such person.
- (c) Confinement of such person, lawful in form, but fraudulently obtained, or fraudulently made unjustly harassing or oppressive.

(Civ. Code, § 1569.)

Here there is no evidence that Defendant or any of the other participants in the mediation acted unlawfully. Plaintiff does not assert she was unlawfully confined. Her claim that she was attending the mediation for moral support only and did not realize she did not have to sign the settlement agreement does not reasonably suggest that she was not free to leave or that force would be used on her if she attempted to leave.

Moreover, a threat to do what party making threat has legal right to do does not constitute duress or coercion. (*Marshall v. Packard-Bell Co.* (1951) 106 Cal.App.2d 770, 774.) Even if the Complaint and affidavits could be said to state a prima facie claim for duress, the only basis for this claim would be the sending of the demand letter and participation in the mediation. These allegations would be protected by the litigation privilege as discussed above.

For these reasons, Plaintiff has failed to show her claim for rescission based on duress has minimal merit.

Mistake

A party may rescind a contract if his or her consent was given by mistake. (Civ. Code, § 1689, subd. (b)(1).) “A factual mistake by one party to a contract, or unilateral mistake, affords a ground for rescission in some circumstances.” (*Donovan v. RRL Corp.* (2001) 26 Cal.4th 261, 278, as modified Sept. 12, 2001 (*Donovan*).) Under Civil Code section 1577, a mistake of fact is defined as “a mistake, not caused by the neglect of a legal duty on the part of the person making the mistake, and consisting of: 1. An unconscious ignorance or forgetfulness of a fact past or present, material to the contract; or, 2. Belief in the present existence of a thing material to the contract, which does not exist, or in the past existence of such a thing, which has not existed.” (*Mosher v. Mayacamas Corp.* (1989) 215 Cal.App.3d 1, 4.)

To establish a unilateral mistake of fact sufficient for the rescission of a contract, the defendant must establish: “(1) the defendant made a mistake regarding a basic assumption upon

which the defendant made the contract; (2) the mistake has a material effect upon the agreed exchange of performances that is adverse to the defendant; (3) the defendant does not bear the risk of the mistake; and (4) the effect of the mistake is such that enforcement of the contract would be unconscionable.” (*Donovan, supra*, 26 Cal.4th at p. 282; *Greif v. Sanin* (2022) 74 Cal.App.5th 412, 438.)

However, a plaintiff's subjective misinterpretation of the terms of the contract constituted is, at most, a unilateral mistake of law. (*Donovan, supra*, at p. 279.) Relief for unilateral mistake of law is authorized only where one party knows of, does not correct, and takes advantage or enjoys the benefit of another party's mistake. (*Id.*, citing *Hedging Concepts, Inc. v. First Alliance Mortgage Co.* (1996) 41 Cal.App.4th 1410, 1418–1422.)

Here, the mistakes alleged by Plaintiff, that she 1. did not understand the legal issues regarding her alleged responsibility for the claims made in the demand letter (Compl., ¶ 18); 2. signed the settlement agreement on behalf of Trusts for which she did not have authority to sign (*id.*, ¶ 20); and 3. did not understand that she could decline to be a party to the settlement agreement (*id.*, ¶ 21), are all mistakes of law. Plaintiff has not made a prima facie showing that any other party knew of, did not correct, and took advantage of her mistaken beliefs. Even if she had, the allegations would be protected by the litigation privilege as discussed above.

For these reasons, Plaintiff fails to satisfy her burden on prong 2 of the anti-SLAPP analysis for her claim for rescission due to mistake.

Failure of Consideration

The Complaint also alleges that “given that Bush had no responsibility for Brodigan’s claims and allegations against Guerin, Bush received no benefits under the Settlement Agreement; there was no consideration given as to Bush under the Settlement Agreement or, alternatively, there was a failure of consideration.” (Compl., ¶ 23.)

A party may rescind for failure of consideration if the consideration for the obligation of the rescinding party fails, in whole or in part, through the fault of the party as to whom he rescinds, if the consideration for the obligation of the rescinding party becomes entirely void from any cause, or if the consideration for the obligation of the rescinding party, before it is rendered to him, fails in a material respect from any cause. (Civ. Code, § 1689, subd. (b)(2).) Failure of consideration is the failure to execute a promise, the performance of which has been exchanged for performance by the other party. (*Taliaferro v. Davis* (1963) 216 Cal.App.2d 398, 410–11.) Accordingly, the rationale of the cases dealing with failure of consideration is that where the consideration fails in whole or in part through the fault of a party whose duty it is to render it, the other party may invoke such failure as a basis for rescinding or terminating the contract, provided the failure or refusal to perform constitutes a breach in such an essential particular as to justify rescission or termination. (*Ibid.*)

Here, Plaintiff is not asserting type of failure of consideration identified in Civil Code section 1689. Rather, Plaintiff is using the “failure of consideration” language but merely re-describing the alleged mistake of law – that she did not understand the legal issues regarding her alleged responsibility for the claims made in the demand letter. (Compl., ¶ 18.) For the reasons

discussed above, Plaintiff has not made a prima facie showing that any other party knew of, did not correct, and took advantage of her mistaken beliefs. Even if she had, the allegations would be protected by the litigation privilege.

Finally, “[a] compromise and release is not to be confused with the law of contract, in which equivalents are exchanged, for the very essence of a release is to avoid litigation, even at the expense of strict right.” (*Village Northridge Homeowners Assn. v. State Farm Fire & Cas. Co.* (2010) 50 Cal.4th 913, 925. Internal citations omitted.)

Here, Plaintiff has not made a prima facie showing that consideration failed, even if her belief that she had no potential liability proves true. Settlements do not only value the potential amount of liability, but also value avoiding ongoing or potential litigation. Plaintiff has not provided any evidence that this contemplated benefit did not exist, or to the extent it was present, lacked all value.

For these reasons, the anti-SLAPP Motion is GRANTED and paragraphs 13-25 are stricken from the Complaint.

Attorney’s Fees

The anti-SLAPP statute reflects the Legislature's strong preference for awarding attorney fees to successful defendants. (*City of Colton, supra*, 206 Cal.App.4th at p. 782.) The prevailing defendant seeking fees and costs bears the burden of establishing entitlement to an award and documenting the appropriate hours expended and hourly rates. (*Ibid.*) To that end, the court may require a defendant to produce records sufficient to provide a proper basis for determining how much time was spent on particular claims. (*Ibid.*) The court also may properly reduce compensation on account of any failure to maintain appropriate time records. (*Ibid.*) The evidence should allow the court to consider whether the case was overstaffed, how much time the attorneys spent on particular claims, and whether the hours were reasonably expended. (*Ibid.*) However, the absence of time records and billing statements does not necessarily deprive a trial court of substantial evidence to support an award. (*Ibid.*) The verified time statements of an attorney, as an officer of the court, are entitled to credence in the absence of a clear indication the records are erroneous. (*Ibid.*)

Here, Attorney Miller submits that he spent 11.4 hours (at a rate of \$800/hr) in connection with the preparation of this motion, that Attorney Fitzgerald of his office spent 22.1 hours (at \$800/hr) in connection with the preparation of the same, and that Michael A. Pascoe of his office spent 3 hours (at a rate of \$225/hour). (Miller Decl., ¶ 8.) The filing fee for the motion was \$60.00. (*Ibid.*) Attorney Miller also declares that he spent 6.4 hours (at a rate of \$800/hr) in connection with the preparation of this reply brief and that Attorney Fitzgerald spent an additional 18.7 hours (at \$800/hr) in connection with the same. (See Miller Supp. Decl., ¶ 3.)

In total, Defendant seeks \$47,505 in fees in costs in connection with this Motion. The Court finds that the time expended on the Motion appears excessive. The Court reduces the amount of fees to \$15,000 and awards \$60 in costs, for a total award of \$15,060.

DEMURRER – LEGAL STANDARD

The function of a demurrer is to test the legal sufficiency of the challenged pleading. (*Hernandez v. City of Pomona* (1996) 49 Cal.App.4th 1492, 1497.) As a general rule, in testing a pleading against a demurrer, the facts alleged in the pleading are deemed to be true, however improbable they may be. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604.) The court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of Univ. of Calif.* (1990) 51 Cal.3d 120, 125.)

In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) The face of the complaint includes matters shown in exhibits attached to the complaint and incorporated by reference. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 317.) The onus is on the plaintiff to articulate the “specifi[c] ways” to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend “only if a potentially effective amendment [is] both apparent and consistent with the plaintiff’s theory of the case.” (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145.)

DEMURRER – DISCUSSION

Defendant demurs on the ground that the sole cause of action (rescission) does not allege facts sufficient to state a cause of action for rescission based upon undue influence, duress, and mistake. (Code Civ. Proc., § 430.10(e).) In addition, the first cause of action does not allege facts sufficient to state a cause of action for rescission, because the claim is based upon acts and conduct that are protected speech and are confidential, subject to the mediation privilege.

The Complaint seeks relief under Civil Code section 1689 which provides: “A party to a contract may rescind the contract in the following cases: If the consent of the party rescinding, or of any party jointly contracting with him, was given by mistake, or obtained through duress, menace, fraud, or undue influence, exercised by or with the connivance of the party as to whom he rescinds, or of any other party to the contract jointly interested with such party.” (Civ. Code, § 1689, subd. (b)(1).) A party may also rescind for failure of consideration if the consideration for the obligation of the rescinding party fails, in whole or in part, through the fault of the party as to whom he rescinds, if the consideration for the obligation of the rescinding party becomes entirely void from any cause, or if the consideration for the obligation of the rescinding party, before it is rendered to him, fails in a material respect from any cause. (*Id.*, at subd. (b)(2).)

In light of the above ruling striking paragraphs 13-25 of the Complaint, the Court agrees that the Complaint fails to allege facts sufficient to state a cause of action for rescission. Plaintiff has not demonstrated how this defect could be cured by amendment. The Demurrer is therefore SUSTAINED without leave to amend.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-gov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjEOSHNgEGafG.1>

Meeting ID: 161 548 7764

Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/01/26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0009672

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: A. ANDRES

PLAINTIFF: ELIZABETH A. FROHLICH

vs.

DEFENDANT: ROBERTSON, ANSCHUTZ,
SCHNEID & CRANE LLP, ET AL

NATURE OF PROCEEDINGS: ORDER – SHOW CAUSE – PRELIMINARY INJUNCTION

RULING

Plaintiff's motion for a preliminary injunction is granted.

Defendants' unopposed request for judicial notice is granted.

Background

Plaintiff Elizabeth Frohlich seeks to enjoin a foreclosure sale of her property located at 328 Knight Dr., San Rafael. Her complaint filed on April 2, 2026 names Robertson, Anschutz, Schneid & Crane, LLC ("RASC"), the current Trustee for the Deed of Trust on Plaintiff's mortgage and foreclosure counsel, Select Portfolio Servicing, Inc. ("SPS"), the current servicer for Plaintiff's mortgage, and The Bank of New York Mellon Trust Company, N.A. ("the Trust"), which currently owns Plaintiff's mortgage. It includes the following causes of action: (1) fraud; (2) wrongful foreclosure; (3) violation of the Homeowners' Bill of Rights (HBOR); (4) violation of Business and Professions Code section 17200 et seq.; (5) negligence; (6) intentional infliction of emotional distress; and (7) declaratory relief. SPS and the Trust oppose Plaintiff's motion for preliminary injunction.

Legal Standard

"When ruling on a motion for preliminary injunction, 'trial courts should evaluate two interrelated factors when deciding whether or not to issue a preliminary injunction. The first is the likelihood that the plaintiff will prevail on the merits at trial. The second is the interim harm that the plaintiff is likely to sustain if the injunction were denied as compared to the harm that the defendant is likely to suffer if the preliminary injunction were issued.'" (*Anderson v. County of Santa Barbara* (2023) 94 Cal.App.5th 554, 567-568, citations omitted.) "The trial court determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the

greater the plaintiff's showing on one, the less must be shown on the other to support an injunction. Of course, 'the scope of available preliminary relief is necessarily limited by the scope of the relief likely to be obtained at trial on the merits.' A trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim. .." (*Butt v. State of California* (1992) 4 Cal.4th 668, 678, citations and brackets omitted.)

Balance of Harms

The Court finds that the balance of harms weighs heavily in favor of Plaintiff. If the sale proceeds, she will lose her and her children's home of almost 20 years. (Frohlich decl. ¶17.) The Court does not find compelling Defendants' arguments as to why the balance weighs in their favor. For example, Defendants argue that there is a risk of waste. Given that Plaintiff wants to keep her home, there seems to be no risk of waste.

Probability of Success

The Court finds that Plaintiff has shown a possibility that she will prevail on her claim that Defendants violated Civil Code section 2923.6 and her cause of action for declaratory relief. Because of the Court's conclusion as to these two matters, the Court need not address Plaintiff's additional claims/causes of action.

Section 2923.6: This section prohibits "dual tracking." In her supporting declaration Plaintiff states:

10. Beginning on September 15, 2025, and continuing through February 12, 2026, I submitted detailed requests to SPS for a loan modification, including a sworn Declaration and extensive supporting documentation. SPS confirmed that my application was complete and under review, and changed my account status from "foreclosure" to "dispute."

11. On or about March 21, 2026, I received a letter from SPS denying my modification request. The letter did not specify an appeal period as required by law. Under Civil Code section 2923.6, I have at least thirty days to appeal, making my appeal deadline approximately April 20, 2026.

Plaintiff alleges that she submitted a request to SPS for a discretionary deferral of her past-due payments. In opposition, Defendants argue that "[a]n informal letter requesting a discretionary accommodation based on a servicing complaint does not constitute a 'complete first lien loan modification application' within the meaning of the statute." Further, their declarant states:

According to SPS's loan records, there is no record of Borrower submitting a Request for Mortgage Assistance in September 2025 or March 2026. There was no loss mitigation application pending review in November 2025 when the NOD was recorded or in February 2026 when the NOS was recorded.

(Pittman decl. ¶28.)

The evidence shows as follows: On September 15, 2025, Plaintiff sent a letter to SPS's Consumer Ombudsman Department asking for a deferral of the 15 past due monthly payments she had been unable to make. She stated that, as a result of Mr. Salama's death on May 5, 2025 with no assets, she would never be able to recover the \$120,000 he owed her for child support. (Ex. 18 to Pittman decl. at p. 312.) After outlining her claims, she asked SPS to "[m]odify" her mortgage loan to defer any past due payments to the end of the loan. (*Id.* at p. 319.) On November 13 she again wrote to the Consumer Ombudsman Department. She requested that SPS defer the overdue payments on her loan and reinstate her mortgage in good standing. (*Id.* at p. 320.) On December 4, SPS sent Plaintiff a letter regarding "the inquiry on November 13, 2025." The letter stated that SPS had "completed a full review of the inquiry and the account." With respect to loss mitigation, SPS wrote:

In the inquiry, you requested assistance with a Deferral. Unfortunately, SPS was unable to offer you a Deferral because based on the delinquency on your account, and because under the Servicing Agreement governing this account, the requested assistance option was not available, and we were unable to approve your request. SPS is required to service its accounts according to the requirements of the Noteholder, which may include limitations on modification characteristics.

(Ex. 17 to Pittman decl. at p. 206.) On February 12, 2026, Plaintiff submitted to the Customer Advocacy and Legal Departments of SPS a:

- 1) Requested Affidavit of Fact in Support of Fraud / Wrongful Foreclosure Claims...;**
- 2) Urgent Request for Withdrawal of Notice of Default filed November 7, 2025 and Notice of Trustee's Sale to Remedy Illegal "Dual Tracking" under California Law; and**
- 3) My Complaint Against SPS and the Investor for Fraud and Wrongful Foreclosure and demand for Modification or Payment to Resolve Claims**

In the opening paragraph, Plaintiff wrote:

Please consider the following in connection with my pending requests for a loan modification or a settlement payment to resolve my fraud, wrongful foreclosure, and other claims against SPS and the Investor for my mortgage loan.

With respect to the Affidavit of Fact, Plaintiff stated that SPS had requested it in a January 14, 2026 letter and that she had previously provided it to SPS on September 15, 2025. (Ex. 18 to Pittman decl. at p. 281.) On March 11, 2026, SPS sent Plaintiff a letter regarding "the

inquiry on February 17, 2026” and stated that it had “completed a full review of the inquiry and the account.” With respect to foreclosure and dual tracking SPS stated that he believed it had “acted according to applicable guidelines.” It declined her request for compensation. (Ex. 17 to Pittman decl. at p. 204.)

The evidence is sufficient to show that there is some possibility that Plaintiff will prevail on this claim. Plaintiff was requesting a loan modification in the form of a deferral of payments to the end of the loan. According to the correspondence discussed above, SPS requested a document (the Affidavit of Fact) on January 14 and Plaintiff provided it on February 12. Although a copy of a “Request for Mortgage Assistance (RMA)” form is included as part of exhibit 9 (at p. 64, et seq.), Defendants offer no evidence and cite no authority showing that this form **MUST** be used in order for a request to constitute an “application for a first lien loan modification” under section 2923.6.

Defendants go on to argue that even if Plaintiff submitted a complete application for a loan modification, she is precluded from pursuing her dual tracking claim pursuant to subdivision (g) of section 2923.6. Defendants’ evidence shows that Plaintiff first defaulted when her June 1, 2024 payment was due. (Pittman decl. ¶11 and ex. 5.) Plaintiff submitted a Request for Mortgage Assistance in June 2024 which was determined to be complete in September 2024. (*Id.* ¶¶16-18 and exs. 9-11.) On September 25, 2024, SPS sent a letter to Plaintiff advising her that she was not approved for any home retention loss mitigation measures. (*Id.* ¶19 and ex. 12.) Plaintiff submitted another Request for Mortgage Assistance in January 2025 which was determined to be complete in April 2025. (*Id.* ¶¶20-22 and exs. 13-15.) On April 28, 2025, SPS sent a letter to Plaintiff advising her that she was not approved for any home retention loss mitigation measures. (*Id.* ¶23 and ex. 16.) The problem with Defendants’ argument here is that SPS did evaluate Plaintiff’s request. As shown above, in its December 4 and March 11 correspondence, SPS stated it had “completed a full review of the inquiry and the account.” Additionally, Plaintiff’s evidence shows that her later request for payment deferral was based upon the fact that she was unable to recover the \$120,000 Mr. Salama owed her when he died on May 5, 2025. This occurred after both of the earlier requests.

Declaratory Relief: In *Monterey Coastkeeper v. Central Coast Regional Water Quality Control Board* (2022) 76 Cal.App.5th 1, 13, the Court of Appeal wrote as follows:

Declaratory relief is available to a party “who desires a declaration of his or her rights or duties with respect to another...” A complaint for declaratory relief is legally sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the parties and requests that the rights and duties of the parties be adjudged by the court. If these requirements are met and no basis for declining declaratory relief appears, the court should declare the rights of the parties whether or not the facts alleged establish the plaintiff is entitled to favorable declaration. “Declaratory relief operates prospectively, serving to set controversies at rest before obligations are repudiated, rights are invaded or wrongs are committed. Thus the remedy is to be used to advance preventative justice, to declare rather than execute rights.” In

essence, declaratory relief operates to declare future rights, not to address past wrongs.

A party seeking declaratory relief must show a very significant possibility of future harm. In assessing whether declaratory relief is available, a court determines whether “a probable future dispute over legal rights between parties is sufficiently ripe to represent an ‘actual controversy’ within the meaning of the statute authorizing declaratory relief, as opposed to purely hypothetical concerns...” “An ‘actual controversy’ under the declaratory relief statute is ‘one which admits of definitive and conclusive relief by judgment within the field of judicial administration, as distinguished from an advisory opinion upon a particular or hypothetical state of facts.’”

(Citations and brackets omitted.)

Defendants’ first argument as to why Plaintiff cannot prevail is based upon the fact that declaratory relief is a remedy. They contend that “[b]ecause Plaintiff cannot demonstrate a likelihood of prevailing on the rest of her claims, her request for declaratory relief fails as well.” This argument lacks merit. While declaratory relief is in fact a remedy, as shown above it “operates prospectively, serving to set controversies at rest before obligations are repudiated, rights are invaded or wrongs are committed.” Therefore Plaintiff does not need to have any underlying cause of action to support her request.

Defendants go on to argue:

...[E]ven if the PSA grants SPS discretionary authority to modify loans, that discretion belongs to SPS – it does not create a right in Plaintiff to compel a modification. SPS evaluated Plaintiff for loan modifications on multiple occasions, exercised its discretion, and determined that Plaintiff did not qualify.

Defendants are correct that Plaintiff cannot compel SPS to exercise its discretion in any particular manner. However, if Plaintiff succeeds in showing that SPS does in fact have discretion to defer her payments, then SPS would need to reevaluate Plaintiff’s request since the Court would have determined that it was wrong when it took the position that it could not defer her payments. While SPS might not ultimately exercise its discretion the way she wants, she should have the opportunity to get to that point.

Undertaking

“On granting an injunction, the court or judge must require an undertaking on the part of the applicant to the effect that the applicant will pay to the party enjoined any damages, not exceeding an amount to be specified, the party may sustain by reason of the injunction. ...” (Code Civ. Proc., § 529, subd. (a).) Defendants ask for a \$942,998.45 bond on the ground that this is the amount Plaintiff owes. This is not the amount of damage Defendants may sustain by virtue of the injunction. The Court orders Plaintiff to post an undertaking in the amount of \$5,000.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

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